FX Markets Weekly

"Is this an intervention?"

Outlook: We've neutralized our dollar-long recommendation after payrolls; we see narrower ranges for USD based on recent data-flow. But data dependence still matters; USD continues to closely track near-term Fed expectations. Carry has proven resilient to several headwinds, and we remain constructive. We retain a 164 USD/JPY target. We evaluate similarities and differences vs the 2024 intervention backdrop.

Macro Trade Recommendations: We have been long USD since mid-May but now tactically neutralise given recent misses in US data; close long-USD basket (vs DM low-yielders) at a modest loss. Carry remains the higher-conviction theme; hold short-CHF basket (vs AUD, USD & HUF) and stay short CAD/MXN. Hit take-profit-stops on SEK shorts vs EUR & AUD; hold NOK/SEK call spread into expiry.

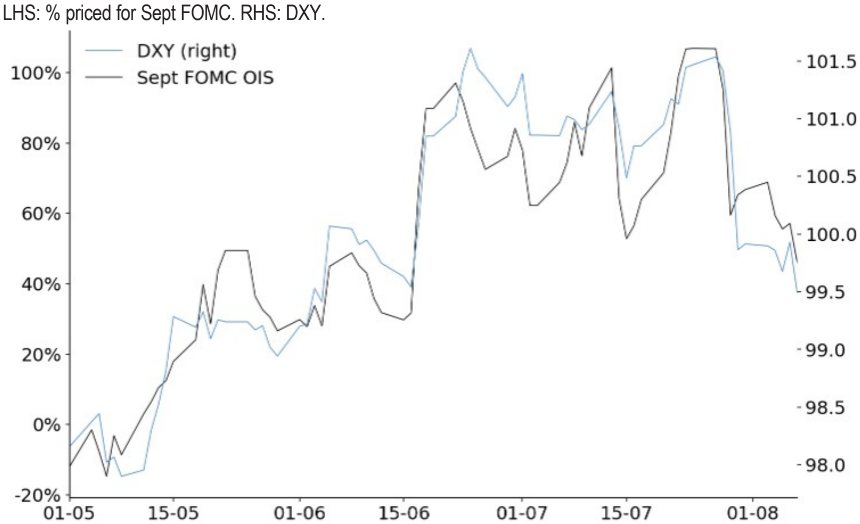
Emerging Markets FX: OW overall but in reduced size since 24 July given the risk balance between global financing conditions, US/Iran conflict and moderately negative August FX seasonality. We express this via OW LatAm, MW EMEA EM and UW Asia.

FX Derivatives: FX vols nudge higher as US rates uncertainty builds. Macro risks remain benignly priced in a carry-friendly backdrop. JPY intervention has left skew and barrier premia rich; we favor harvesting skew via a 3M dh USD/JPY ATM/25D 1x1.5 ratio put spread, and collecting underperforming EM skew carry through 3M dh USD/MXN and EUR/PLN ATM/25D 1×2 vega-notional ratio call spreads.

Technicals: DXY is left with an ambiguous technical setup following the recent whipsaw back into 2025-2026 range. EUR/USD bounce from the 1.134 Feb 2025 38.2% retracement risks derailing the developing bearish trend momentum. EUR/GBP rebound loses momentum below critical pattern breakdown resistance. USD/JPY staged a sharp drop to the 154.78-155.04 support zone; a new 155-160 trading range?

Figure 1: DXY remains closely correlated to near-term Fed expectations; data dependence remains paramount.

LHS: % priced for Sept FOMC. RHS: DXY.



Source: J.P. Morgan, Bloomberg Finance L.P.

See page 46 for analyst certification and important disclosures.

Global FX Strategy

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FX Outlook

"Is this an intervention?"

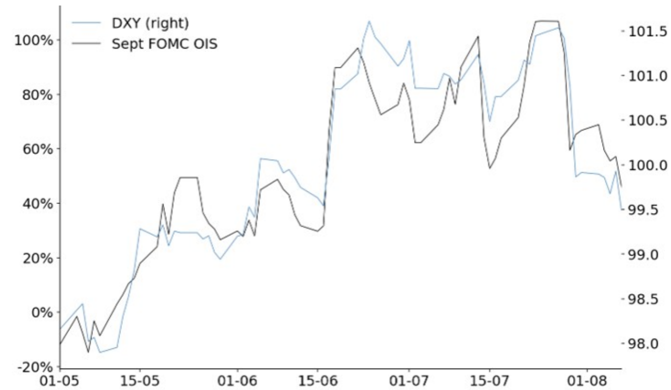
- **We had been long USD since May, but neutralize our recommendation after payrolls. We see narrower ranges for USD based on recent data-flow.**
- **Data dependence still matters; the dollar continues to closely track near-term Fed expectations.**
- **Carry has proven resilient to several headwinds, and after neutralizing USD length, remains the central component of our trading strategy. Resilient growth, a pro-risk backdrop and still-high rate differentials argue against a full replay of August 2024.**
- **Large MoF intervention raises risks of alternatives to faster BoJ hikes. FIMA & GPIF have all moved into focus, following US Treasury intervention. We retain unchanged 164 YE targets for USD/JPY after intervention.**
- **We compare the 2024 & 2026 macro backdrops. Several ingredients behind the 2024 carry unwind remain, including USD downside risk, elevated US yields, and crowded positioning, but no BoJ surprise hike, better growth and lower political vol should limit the degree of high-vol deleveraging.**
- **Next week: RBA, Norges Bank, Riksbank; US CPI; Europe PMIs**

Neutralizing USD length

We neutralize our long-USD recommendation (vs G10 low-yielders) in the wake of this week's US nonfarm payrolls print. We turned long dollars in May on improved US data and participated through the ~100bp rally of real yields as Fed expectations were repriced. Over the last month, however, the dollar has failed to break the range while a mix of factors softened our confidence in the trade: 1) softer data (two consecutive NFPs, inflation data), 2) the latest détente in the US-Iran conflict (ToT), 3) better signs of global growth generally, 4) some evidence of renewed negative sensitivity to the UST long-end (Figure 2, Figure 3) and finally 5) last week's joint US-Japan FX intervention. While we recognize risks around US CPI next week and we retain a mild dollar-bullish bias, we think **it's prudent to neutralize our long-USD stance (vs G10 low-yielders) and instead concentrate risk in the long-carry trade**, which has so far withstood the joint intervention and yen appreciation.

Figure 1: USD continues to track Fed expectations, emphasizing data dependence

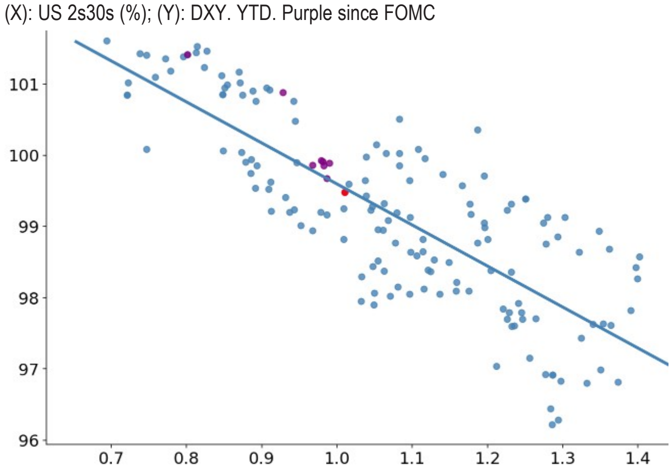
LHS: Priced odds of a Sept FOMC hike; RHS: DXY



Source: J.P. Morgan

Figure 2: USD also remains inversely correlated to curve steepness...

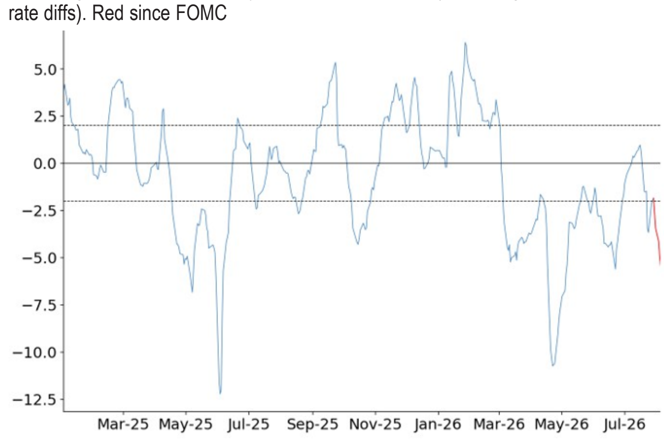
(X): US 2s30s (%); (Y): DXY. YTD. Purple since FOMC



Source: J.P. Morgan

Figure 3: ...reflecting renewed sensitivity to the long-end

1m rolling t-stat: USD sensitivity to 5s30s curve shape (controlling for 2Y US-G10 rate diffs). Red since FOMC



Source: J.P. Morgan

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But data dependence will remain paramount, as Fed expectations are proving to be a solid anchor for USD in the short-term. The lack of forward guidance and some residual concern about the level of inflation should keep rates pricing on its toes throughout 2H. In that respect, it's important to note that DXY has closely tracked pricing of near-term Fed hiking expectations (Figure 3), which for now retains a decent premium still for a hike even after NFP. While we still think it's appropriate to unwind our dollar long recommendation as ranges are likely narrower even with CPI upcoming, the sensitivity of the dollar to Sept FOMC pricing underscores the renewed empirical importance of data dependence.

The latest on JPY, intervention and impacts (or lack thereof) on FX carry

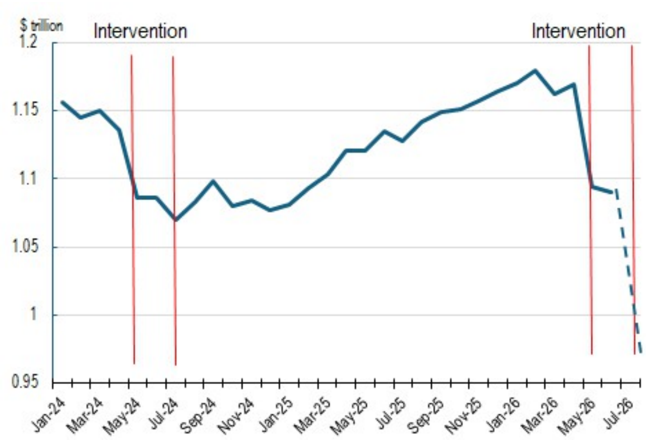
The JPY intervention saga continues to evolve given several wrinkles this time compared to past episodes. Questions continue to revolve around - why UST intervened via EUR instead of USD, how much capacity does MoF have after such large-scale intervention this episode, and what other mechanisms can be deployed to support JPY in the absence of a more obvious hawkish pivot from BoJ. We've covered material ground in other research pieces this week, and synthesize the key takeaways across our geographic teams here:

- Coordinated intervention marks the first US participation in yen-buying operations since 1998 and suggests a **stronger-than-expected willingness by Washington** to support efforts to curb excessive yen weakness. The apparent use of EUR/JPY rather than USD/JPY reinforces the view that the objective was to support Japan's efforts to prevent yen depreciation, not to weaken the dollar. More broadly, the episode underscores that Japanese **authorities view USD/JPY above 160 as excessive, while remaining reluctant to rely on accelerated BoJ rate hikes** as the primary response. We **maintain our 164 year-end target**. See *Unexpectedly strong US-Japan cooperation against weak JPY* (2 August).
- **The Fed's FIMA repo facility** can augment Japan's intervention toolkit, but was not designed for FX intervention and **cannot replace traditional intervention resources**. Unlike ESF or MoF assets, FIMA provides temporary USD financing rather than permanent intervention funding, limiting its effectiveness as a long-term solution. Expanding the facility outside periods of funding stress could also raise **broader policy questions**. See *FIMA & FX intervention* (4 August).
- Japan's cumulative intervention this year has already far exceeded 2024's total, suggesting **traditional intervention tools are becoming increasingly constrained** (Figure 4). Yet the distance to outright Treasury sales or meaningful reliance on FIMA may still be longer than generally assumed, given the MoF's ability to generate cash from maturing reserve assets. Taken together, growing interest in coordinated intervention, FIMA, and GPIF allocation shifts suggests **authorities are searching for alternatives to an accelerated BoJ hiking cycle** (Figure 5) (we've added a hike in our BoJ '27 call), even if none appears likely to materially alter JPY supply-demand dynamics in the near term. See *Next move to stop JPY weakness: Not enough for a sash, much for a belt* (6 August).
- Despite a sharp oil selloff, equity volatility, and the first coordinated yen-buying intervention since 1998, **carry drawdowns remained modest and largely confined to JPY crosses, with little evidence of broader contagion** across the FX cross-section. Unlike August 2024, when carry deleveraging became systemic, high yielders generally held up well and low-yielder repricing remained contained, reinforcing our **constructive view on global carry baskets despite a more volatile macro backdrop**. See *FX Macro Quant: Carry resilient; maintaining a positive bias* (5 August).

The net result for our views is that 1) while joint intervention may temper upside risks to our USD/JPY 164 forecasts, it nevertheless does not fundamentally alter the yen-bear case, and we therefore keep our 164 target; and 2) we retain confidence in the global carry trade despite the vol in a key funder.

Figure 4: Developments in the outstanding amount of "Securities + Deposits" of Japan's FX reserves

Figure for July 2026 is JPM estimation.



Source: Japan Ministry of Finance, J.P. Morgan

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Figure 5: Comparison of tools to curb yen weakness

	MOF intervention	US joint intervention	GPIF	FIMA repo
Immediate availability	○	△	○	?
No need to sell USToutright?	△	–	△	○
Potential ammunition	relatively small	relatively small in EUR/JPY	Up to $190-222bn	$60bn/day
memo		If they decide to move ahead with USD-selling, intervention capacity could increase substantially.	If it involves changing the basic portfolio, intervention capacity could increase.	Ultimately, the USD would need to be repaid.
			Compared with FX intervention, the flows would take longer to materialize, and the impact would be more dispersed over time.	Cost is high

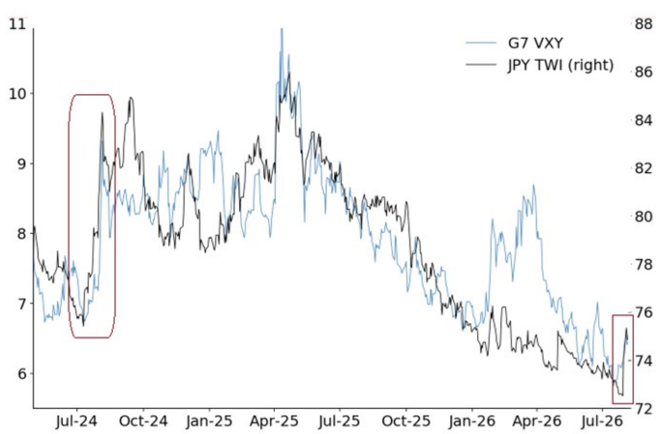
Source: J.P. Morgan, NY Fed

Lessons, similarities and differences vs 2024

Markets have taken recent yen appreciation in their stride, despite the largest intervention yet to date and with bad memories of the fallout from the summer of 2024. With carry en vogue in 2026 and yen intervention coming in surprisingly strong, one might have reasonably expected more of a vol event in FX, sponsored by a deleveraging of the carry trade. Per Figure 6, that has not been the case. Indeed, as noted above and discussed further in this week's *FX Macro Quant*, that carry drawdowns have proven quite modest despite a toxic mix of factors bridging JPY intervention, tech equity drawdowns and oil price softness (see A. Delair, *Carry resilient, maintaining a positive bias*), while the JPY rally has been relatively modest and has not sponsored the same degree of vol spike in the broader FX space as we saw two years ago. For a more tactical quantitative comparison of backdrops around first slugs of JPY intervention, see Figure 7.

Figure 6: Simply in terms of magnitude, the JPY TWI rally has been more modest this time despite greater intervention volume, with limited spillover into broader FX vol

LHS: G7 VXY; RHS JPY TWI



Source: J.P. Morgan

Figure 7: Comparison of cross-asset performance around JPY 2024/2026 interventions. JPY appreciation is so far tracking that of 2024, but with less negative spillover elsewhere

Changes around July 2024 and July 2026 MoF JPY intervention episodes. 3m changes pre-intervention, and 1wk changes post-intervention. Pct chg or diff noted in index. Z-scores shown in parenthesis

	-3m		+1wk	
	2024	2026	2024	2026
Global FRI (Δ)	0.1 (0.3)	0.1 (0.3)	-0.1 (-1.1)	0.1 (0.5)
US FRI (Δ)	-0.1 (-0.2)	-0.0 (-0.2)	0.0 (-0.1)	--
US 2Y (Δ)	-0.35 (-1.0)	0.33 (0.2)	-0.18 (-1.5)	-0.09 (-0.8)
SPX (%)	9.2 (0.9)	2.5 (-0.1)	-0.8 (-0.5)	5.6 (2.4)
MSCI W (%)	6.9 (0.7)	3.0 (0.0)	-0.2 (-0.2)	5.0 (2.3)
BRENT (%)	-8.0 (-0.5)	-23.1 (-1.4)	0.0 (-0.1)	-12.4 (-2.5)
USD TWI (%)	1.4 (0.4)	1.1 (0.3)	-0.6 (-0.9)	-1.1 (-1.7)
DXY (%)	-0.2 (-0.2)	1.9 (0.4)	-1.2 (-1.4)	-1.2 (-1.3)
JPY (%)	-5.3 (-0.7)	-1.8 (-0.0)	3.5 (2.8)	3.6 (2.9)
FX VOL (Δ)	-0.02 (0.0)	-0.54 (-0.4)	0.25 (0.6)	0.21 (0.5)
USD POSITIONING (Δ)	29100 (0.3)	108159 (1.5)	-21126 (-1.4)	--

Source: J.P. Morgan, Bloomberg Finance L.P.

Below, we summarize the similarities and differences in the macro backdrop between 2024 and 2026. **Most actionable insights include: many of the preconditions for the 2024 carry unwind remain in place, particularly a USD downside shock, elevated US yields and crowded positioning**. That said, **the absence of a surprise BoJ tightening shock, a firmer global growth backdrop and less politically-induced volatility suggest the spillovers into broader carry and cross-asset markets should be materially less severe** than in August 2024, even if further JPY appreciation remains possible.

Similarities vs 2024

- **2024 intervention was relatively successful (USD/JPY to 140), and follows a similar playbook of intervening after a significant USD sell-off.** MoF intervention in 2024 is remembered for the tactical selling of USD/JPY on the back of a downside surprise in US CPI (and before the Fed started its easing cycle). While 2026 didn't necessitate quite the same immediacy from the MoF as the CPI date in 2024, they nevertheless intervened just one day after another significant dollar-down event (FOMC), which was a -1.3-sigma loss for DXY, with the USD losing more ground after NFP this week. **In a vacuum, this would suggest some caution in presuming JPY appreciation is over; JPY didn't peak until almost a full month after the initial intervention in 2024.**
- **There was a similar US yield uptrend between 2024 and 2026, both pressuring the yen and supporting the carry trade.** Following the hawkish rethink around the Warsh Fed throughout 2Q, US 2Y yields rallied about 80 points from the lows. 2024 featured a similar such rally, also approximating 80bps in the 2Y sector by mid-year, reflecting another episode of US exceptionalism and

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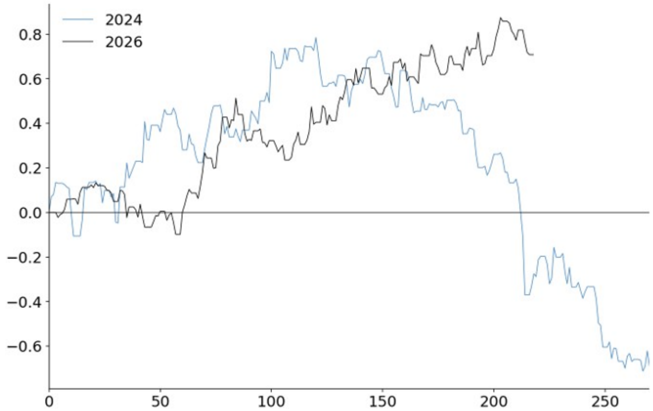
largely unwinding the collapse in yields seen in 4Q'23 (Figure 9). **To the extent carry benefits from higher rates / less Fed easing, this seems material; we remain constructive on carry and US growth remains solid, but a collapse in yields (not the base-case) could exacerbate that trade and force further yen deleveraging.**

Figure 8: US yields actually rose by a similar amount into 2024

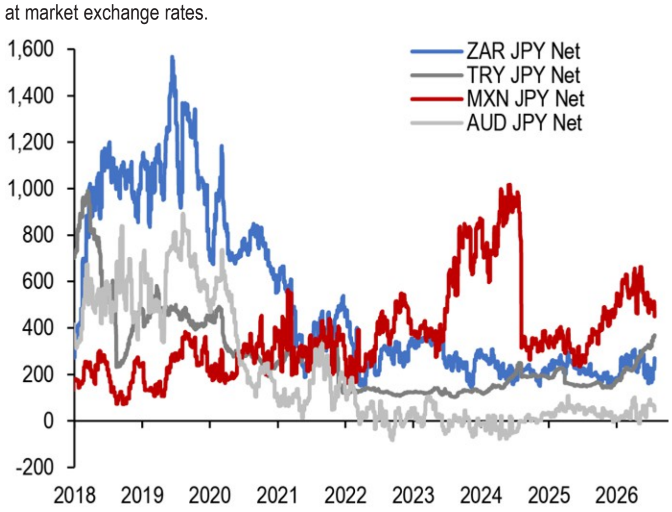
Cumulative YTD US 2Y yield increase (%ppt)



Source: J.P. Morgan

Figure 9: Data from the Tokyo exchange also points to a much cleaner position vs JPY relative to 2024...

Net open interest on FX daily futures contracts in the Tokyo Financial Exchange; net is long minus short contracts, scaled by contract unit size and converted to USDmn at market exchange rates.

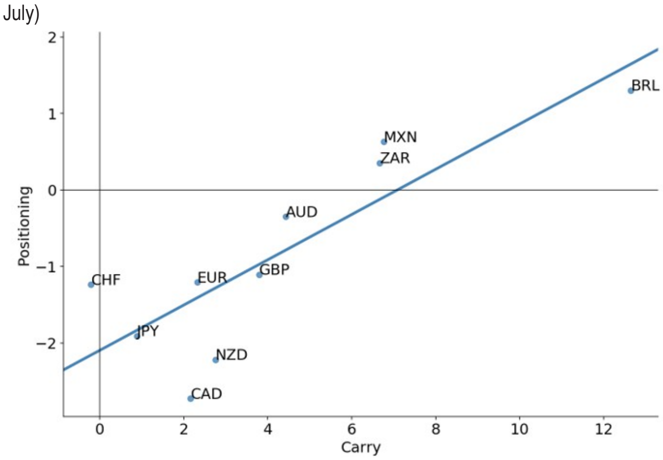


Source: Bloomberg Finance L.P., Tokyo Financial Exchange, J.P. Morgan Latam Local Markets Research

- **Positioning is still one-way.** Positioning is not a perfectly clean analog between 2024 and 2026 episodes, but on net we see more similarities than differences. It's true that some indicators suggest the yen-short trade isn't as entrenched as 2024 (Figure 9), but other metrics like CFTC indicate a similar-sized yen short. Meanwhile, futures also indicate a concentrated carry position pre-intervention/FOMC (Figure 10). As such, **any additional shocks could force a further carry-positioning liquidation**; USD also screened long into both episodes.
- **Intervention is occurring against a generally pro-risk backdrop**: 2024 and 2026 carry performance evolved on the back of positive equity returns, with somewhat similar contours from 2Q-3Q, suggesting potentially similar risk appetite anchors for the carry trade.

Figure 10: ...though carry is still a relatively concentrated position in some corners of the markets

(X): Carry % (Y): Net FX futures positioning (3Y z-score). Pre-intervention (as of 28 July)



Source: J.P. Morgan, CFTC, Bloomberg Finance L.P.

Differences vs 2024

- **2026 doesn't have the same vol shock from a surprise BoJ hike.** Most remember MoF intervention after US CPI (discussed above). But importantly, the BoJ surprised market consensus by hiking not long thereafter, which accelerated the yen carry unwind and amplified the spillover into the cross-asset space (equities) reflecting the surprise nature. By contrast, BoJ chose not to hike last week (within 24hrs of the first intervention). It is also probably worth reminding that the surprise hike came much earlier in the BoJ normalization cycle, and alongside its surprise nature, probably fueled a greater overall financial tightening and deleveraging. **Overall this should help in limiting the collateral damage in 1) G10 FX, 2) the carry trade more broadly and 3) cross-asset vol like that of 2024.**
- **MoF's 2026 FX intervention has already far exceeded 2024 levels, which keeps risks elevated for 'new' sources intervention.** This has the market contemplating more intervention or intervention-like proxies, such as GPIF, and of course has prompted unprecedented US Treasury defense of the yen as well. While past MoF interventions

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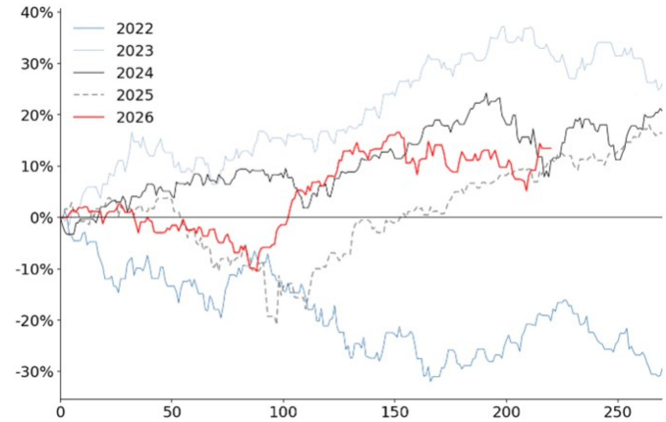
proved fleeting, **questions linger about the duration and additional sources in the current episode.**

- **Politics are relevant in 2026, but not like the shock of 2024.** MXN was a consensus long in 2024, with exceptional carry (policy rate 11% mid-2024, vs 6.5% now). But there was a domestically-induced positioning shock from Claudia Sheinbaum's sweeping win with a congressional supermajority, that paved the way for potential constitutional changes. Thus, the long-side of the carry trade also came under particular pressure. **While BRL politics have jolted FX from time to time this year ahead of October elections, risks from elections through to the FX complex are likely more contained this year.**
- **Global growth backdrop on somewhat better footing in 2026.** Manufacturing PMIs continue to point to a strong global economy overall, with the global PMI tracking above 52 since April. Global PMIs were also mostly above 50 in 2024, but didn't breach 51, and also collapsed in July just as US labor markets were starting to soften. Thus, carry resilience could be attributed in part to stronger global cyclical footing this time around. **This points to more sustained carry resilience in this episode**.
- **ToT shocks are still evolving, and (mostly) a support**. 2026 of course will be remembered for the second great commodity vol shock of this cycle. Realized Brent vol in 2024 was 26%; this year is tracking 66%. We learned that the carry trade could withstand commodity shocks in 2022, anchored by widening dispersion of hiking cycles, but 2026 is also steadying carry returns by virtue of exporters tending to be the higher-yielding on average than lower-yielding peers (eg Asia, Europe). **Still, particularly sharp commodity vol spikes (eg early March) have forced some deleveraging, and so while we think the ongoing tension remains a carry support, flare-ups are still an intermittent tactical risk to the trade**.

Figure 11: Equity returns have tracked a similar contour through 2Q vs 2024

Cumulative YTD US equity (NSDQ) performance



Source: J.P. Morgan, Bloomberg Finance L.P.

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Next week: RBA, Norges Bank, Riksbank; US CPI; Europe PMIs

Next 2 weeks will see **G10 central bank meetings** by the **RBA** (11th, JPM: on hold), **Norges Bank** (13th, JPM: on hold) and **Riksbank** (20th, JPM: on hold). **EM central bank meetings** will take place in **Romania** (10th, JPM: on hold), **Peru** (14th, JPM: on hold) and **Indonesia** (19th, JPM: on hold). Key inflation data will be released in **Norway** (10th), **US** (12th), **Canada** (17th), **UK** (19th), and **Japan** (21st). Labour market data to watch includes **Sweden** (13th), **UK** (18th) and **Australia** (20th). GDP data in **UK** (13th), **Euro area** (14th) and **Japan** (17th), along with PMIs in **Japan**, **Euro area** and **UK** (21st) will shed light on local growth narratives.

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Main trade recommendations

Trade type	Currency	Trade	P/L
Macro portfolio			
Cash (new trades)		—	-
Cash (existing)	**CAD/MXN**	— Sell CAD/MXN	3.60%
	AUD/CHF, USD/CHF, CHF/HUF	— Short CHF vs AUD, USD, HUF	0.27%
Options (new)		—	-
Options (existing)	**NOK/SEK**	— Buy NOK/SEK 3m call spread. K = 1.01/1.03. Spot ref. 1.0004. Cost 52bps.	0.00%
Closed	**EUR/SEK**	— Buy EUR/SEK	1.00%
	AUD/SEK	— Buy AUD/SEK	0.75%
	NZD/USD, USD/CAD, USD/SEK, USD/CHF, EUR/USD	— Buy USD vs basket of DM low yielders (NZD, CAD, SEK, CHF, EUR)	-0.69%
Derivatives portfolio			
RV (new trades)	**USD/MXN**	— Buy delta-hedged 3M USD/MXN ATM/25d 1*2 vega-neutral ratio call spreads	-0.4 vol pts.
RV (existing)	**USD/ZAR**	— Buy 2M in 4M USD/ZAR FVA	-1.3 vol pts.
	EUR/HUF-EUR/SEK	— Buy 3M 2% OTMS EUR puts/HUF calls vs. sell 3M 2% EUR puts/SEK calls	-19.7 bps.
	NZD/USD-EUR/NZD	— Buy 3M NZD/USD vol, financed by selling EUR/NZD vol	-0.3 vol pts.
	USD/CAD	— Buy 3M USD/CAD 1.45 digi call	-9.8%
RV (closed)	**EUR/MXN**	— Buy delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads	2.7 vol pts.

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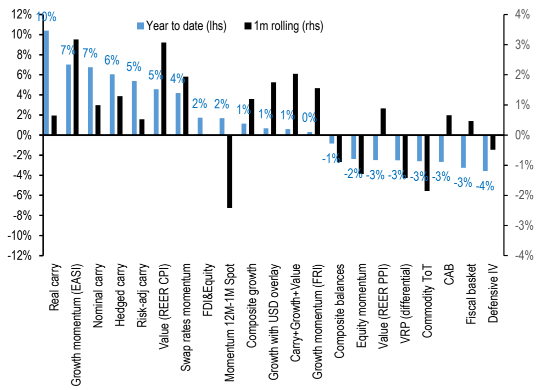
FX Models

Figure 1: On a global portfolio, real carry is still outperforming other carry implementations year-to-date with double-digit returns; growth and value strategies outperformed other factors in the past month

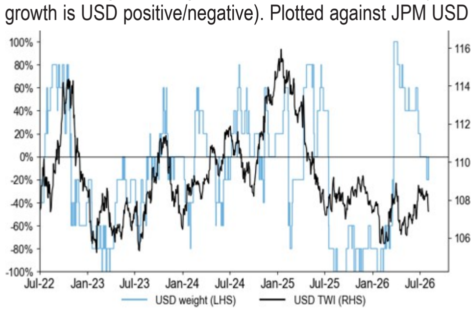
YTD & rolling 1M returns of FX single signal cross-sectional strategies with trading costs (top 5/bottom 5 in global portfolio). Calculation as of Aug-3rd



Source: J.P. Morgan

Figure 2: The USD weight in our economic momentum framework has dropped further to -20%, its lowest level since March

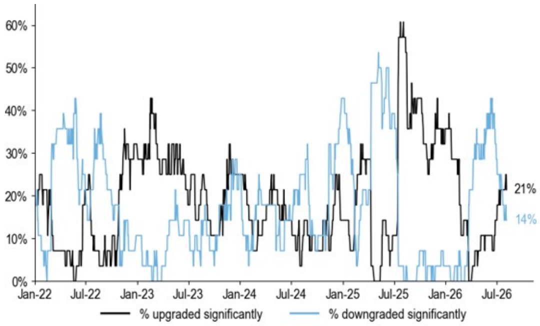
Net USD weight in our growth momentum framework (ie. downside/upside in global growth is USD positive/negative). Plotted against JPM USD TWI



Source: J.P. Morgan

Figure 3: 21% of currencies in our global universe show significantly positive growth momentum vs 14% negative

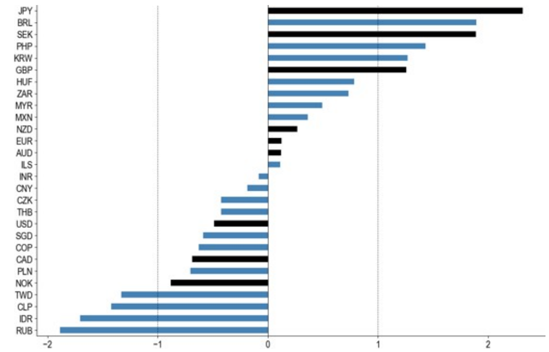
Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM FRI exceeds +/- 1-sigma



Source: J.P. Morgan

Figure 4: The distribution of global growth momentum is now more balanced; JPY & SEK are ranking top 2 in the cross-section; EUR ranking has significantly improved (now higher than USD)

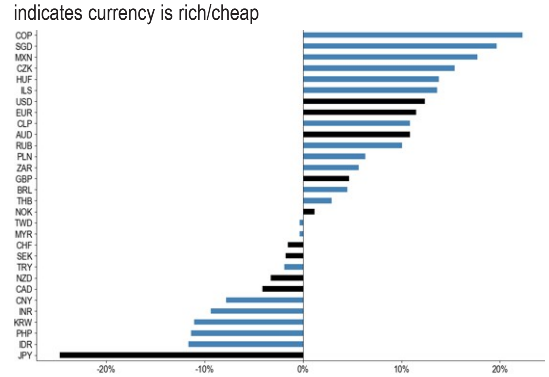
1yr z-score of 3M changes in JPM Forecast Revision Indices



Source: J.P. Morgan

Figure 5: More currencies screen rich (17) vs cheap (13) on long-term REER metrics

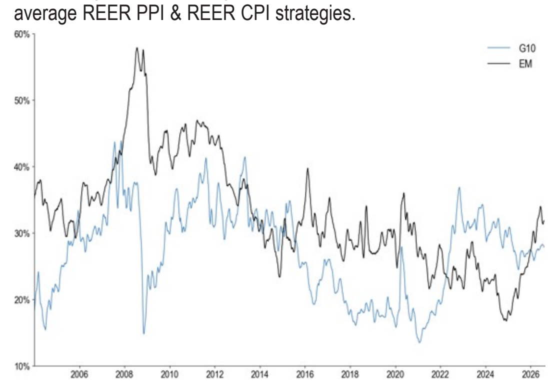
Current deviation of average REER PPI/CPI vs 15yr moving average, %. +/- value indicates currency is rich/cheap



Source: J.P. Morgan

Figure 6: EM valuations dispersion has slightly declined recently but still remain at the past 5-year highs; G10 valuation gap stays elevated

Valuation gap between longs and shorts in top 2/bottom 2 G10 & top 3/bottom 3 EM average REER PPI & REER CPI strategies.



Source: J.P. Morgan

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Figure 7: The TEAM portfolio has maintained a net long carry exposure, albeit a more defensive one. In G10, AUD and NOK screen strongly on decent carry and commodity ToT momentum (gas prices still decently elevated despite the repricing). JPY has been part of the longs on cheap valuations and strong growth signals. SEK was added due to stronger growth and shows the largest TEAM score increase recently. In EM, the portfolio is still long BRL but has reduced COP. EUR stays bottom-ranked on broadly weak signals

Latest currency weights & input variables from our FX multi-factor T.E.A.M model. Rebalancing occurs on Tuesdays. All signals are z-scored in the cross-section

Dispersion Weight:	11%	16%	14%	15%	9%	6%	16%	14%	Composite multi-signal score		Top 5 / Bottom 5 weights	Variance - TEAM Score Ptf Optim
Exposure	Carry		Growth			Defensive	ToT	Value				
Signal:	Real Carry	RA Carry	Equity 1M	FRI MoM	EASI	3MIV Chg	Com. ToT	REER	TEAM Score	2w chg	Weights	Weights
BRL	2.00	1.62	0.40	2.00	-0.63	-2.00	1.31	-0.12	0.85	0.07	20%	20%
IDR	1.62	1.11	1.10	-1.71	-0.18	0.50	0.74	1.33	0.58	0.11	20%	20%
NOK	0.08	0.29	0.68	-0.92	0.18	0.45	2.00	0.18	0.41	0.15	20%	14%
COP	2.00	1.20	0.85	-0.69	0.85	-0.77	1.04	-1.72	0.39	0.16	20%	3%
AUD	-0.29	0.36	0.31	0.02	0.87	0.30	1.77	-0.68	0.35	0.11	20%	18%
JPY	-0.88	-0.37	-0.90	2.00	2.00	0.83	-1.03	2.00	0.34	0.20	-	10%
INR	0.70	1.21	0.09	-0.23	-0.20	-0.56	-0.14	1.12	0.33	0.00	-	8%
PHP	-0.24	0.29	0.52	1.26	-0.20	0.29	-1.06	1.31	0.29	-0.01	-	2%
SEK	0.02	-0.25	0.17	1.62	0.27	0.46	-0.82	0.44	0.20	0.21	-	5%
MXN	0.71	0.92	-0.25	0.26	0.76	0.80	0.24	-1.31	0.20	0.08	-	0%
CAD	-0.52	-0.53	-0.10	-0.74	0.91	0.42	1.54	0.65	0.18	0.03	-	0%
USD	-0.13	0.17	-0.08	-0.54	-0.11	0.83	1.93	-0.82	0.16	0.21	-	0%
GBP	-0.10	0.20	0.16	1.06	-1.24	0.30	-0.40	-0.13	0.02	-0.17	-	0%
ZAR	0.58	0.69	0.00	0.53	-2.00	-0.08	-0.50	-0.22	-0.04	-0.04	-	0%
HUF	0.29	0.49	0.06	0.59	0.83	-0.96	-0.83	-0.95	-0.05	-0.23	-	0%
NZD	-0.77	-0.09	-0.23	0.15	0.59	-0.15	-0.44	0.58	-0.06	-0.01	-	0%
KRW	-0.20	0.17	-2.00	1.04	1.00	-2.00	-0.93	1.28	-0.13	-0.17	-	0%
CHF	-0.97	-0.94	-0.18	-0.12	-1.20	0.83	0.58	0.43	-0.20	0.13	-	0%
PLN	-0.07	0.20	0.99	-0.77	-0.22	-0.81	-1.01	-0.28	-0.22	0.01	-	0%
CNY	-0.61	-2.00	0.93	-0.23	-0.54	0.43	-0.49	0.99	-0.25	0.17	-	0%
ILS	-0.24	-0.04	-0.27	-0.05	-0.20	0.19	-0.26	-0.94	-0.26	-0.04	-	-9%
THB	-0.20	-0.31	-0.39	-0.49	-0.71	0.56	-0.46	0.02	-0.30	-0.28	-	0%
CZK	-0.35	0.09	0.94	-0.49	-0.57	-0.62	-0.84	-1.09	-0.34	-0.02	-20%	-18%
CLP	-1.03	0.15	-0.08	-1.65	-1.74	2.00	0.63	-0.68	-0.37	0.09	-20%	-13%
EUR	-0.85	-0.36	-0.27	0.03	0.51	-0.23	-0.94	-0.74	-0.41	0.00	-20%	-20%
SGD	-0.91	-1.18	0.96	-0.64	0.21	0.75	-0.65	-1.47	-0.50	-0.16	-20%	-20%
TWD	-1.15	-1.43	-1.23	-1.41	0.10	-1.71	-0.99	0.32	-0.94	-0.49	-20%	-20%
TRY	Currently excluded: systematically not tradable											
MYR	Currently excluded: systematically not tradable											
RUB	Currently excluded: systematically not tradable											

Source: J.P. Morgan

Real Carry: Currency 1M forward-implied yield – core CPI
RA Carry: Currency 1M carry vs USD / dollar pair 1M ATM implied volatility (Risk-adjusted carry)
Equity 1M: 1M return of MSCI local Currency equity index
FRI MoM: 1Y Z-Score of 3M change in J.P. Morgan Growth Forecast Revision Indices
EASI: J.P. Morgan Economic Activity Surprise Indices (EASIs) require significant treatment to be processed, notably for countries with a low number of econ consensus. For certain countries, the EASI signal is an average of the local & the broad region (Nordics, IDR, NZD) or the broad EM EASI in certain cases but with a reduced weight. Final signal is EASI 6Wmovavg / 1Y Rolling Max(|Max(EASI)|,|Min(EASI)|)
Defensive IV: 1M change in dollar pair 3M ATM-implied volatility (traded mean-reversion); opposite of VXY chg is implemented for USD, JPY and CHF
Com. ToT: 3Y Z-Score of 1W4W and 1M12M commodity terms of trade deviations (average) from JPMaQS
Value REER: Average of REER CPI and REER PPI 15 years deviation
All signals are Z-scored in the cross section (and trimmed to -2/+2)

Figure 8: Current Top 5/Bottom 5 allocation of our single signal cross-sectional strategies

	Fiscal baskets	Carry + Growth + Value	Risk-adj carry	Nominal carry	Hedged carry	Real carry	Value (REER PPI)	Value (REER CPI)	CAB	FDI & Equity flows	Composite balance	Growth EASI	Growth FRI	Composite growth	Growth FRI USD overlay	Swap rates momentum**	G10 rates momentum*	Momentum Spot**	Equity momentum	Commodity ToT	Defensive IV	VRP (differential)
top 1	NOK	JPY	BRL	BRL	COP	BRL	PHP	JPY	TWD	GBP	THB	JPY	JPY	JPY	JPY	BRL	EUR	ZAR	CNY	USD	CLP	PHP
top 2	TWD	PHP	INR	COP	USD	COP	JPY	IDR	SGD	THB	PLN	AUD	BRL	KRW	SEK	KRW	CHF	BRL	PLN	NOK	CHF	ZAR
top 3	CHF	INR	COP	IDR	IDR	IDR	CNY	KRW	NOK	NZD	JPY	KRW	SEK	HUF	BRL	JPY	-	MXN	COP	AUD	JPY	THB
top 4	SEK	KRW	IDR	INR	BRL	INR	INR	CAD	KRW	BRL	SGD	MXN	PHP	SEK	PHP	ZAR	-	-	SGD	CAD	USD	CLP
top 5	KRW	BRL	MXN	MXN	INR	MXN	KRW	SEK	SEK	PLN	GBP	HUF	HUF	BRL	HUF	CHF	-	-	CZK	BRL	MXN	HUF
bottom 5	INR	EUR	JPY	SEK	AUD	EUR	EUR	ILS	USD	SEK	CHF	GBP	PLN	TWD	USD	PLN	-	-	CHF	KRW	PLN	ILS
bottom 4	JPY	CNY	CAD	SGD	ZAR	JPY	AUD	PLN	AUD	SGD	SEK	THB	NOK	CHF	NOK	USD	-	-	THB	TWD	HUF	JPY
bottom 3	CNY	TWD	CHF	CNY	NZD	SGD	COP	MXN	GBP	NOK	KRW	CHF	IDR	THB	IDR	INR	-	JPY	JPY	JPY	TWD	CNY
bottom 2	BRL	CLP	SGD	JPY	ILS	CHF	CLP	CZK	NZD	TWD	CAD	CLP	TWD	ZAR	TWD	MXN	JPY	INR	TWD	PLN	KRW	TWD
bottom 1	USD	SGD	CNY	CHF	CLP	CLP	SGD	COP	PHP	KRW	CLP	ZAR	CLP	CLP	CLP	CNY	AUD	KRW	KRW	PHP	BRL	NOK

*G10 basket only ; **Basket of 20 most liquid currencies only

Source: J.P. Morgan

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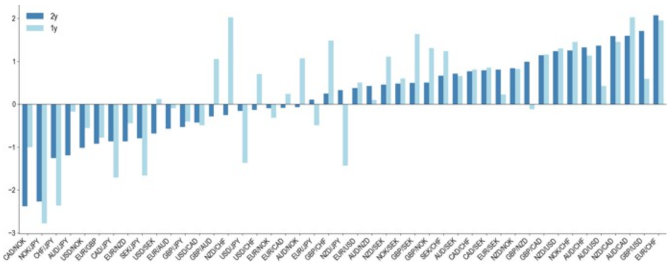
G10 FX short-term fair value

Cross-sectional overview

Figure 1: GBP/USD and NZD/CAD screen among the richest, while CAD/NOK, EUR/GBP screen among the cheapest

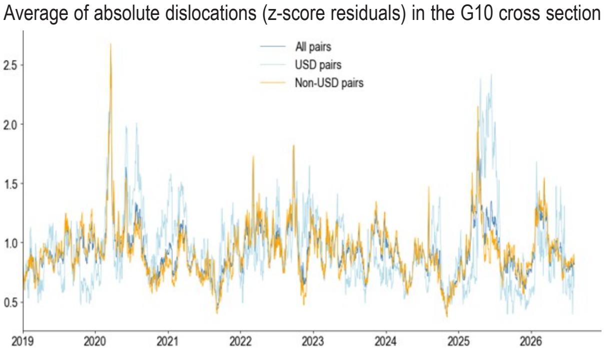
Z-score of residual on short-term fair value model



See updated methodology note for details. Inputs: 2y OIS rate spread, relative JPMaQS commodity terms of trade for all pairs, and peripheral spreads for EUR pairs. 2y and 1y regression hz. Values on all charts as of 06-Aug COB. Some models may have low R-squared or negative/unintuitive coefficients, but all are included.
Source: J.P. Morgan, JPMaQS

Figure 2: Average dislocations are mid-range for crosses and at the lower end for dollar pairs

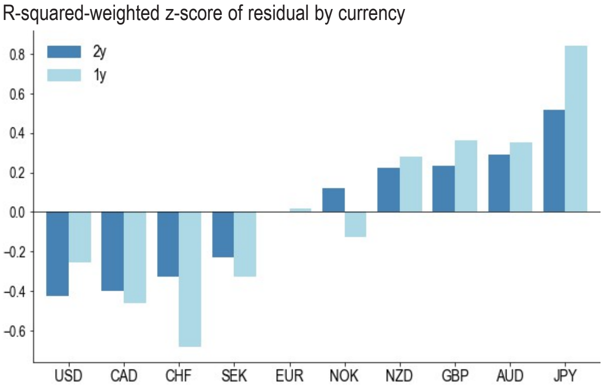
Average of absolute dislocations (z-score residuals) in the G10 cross section



Source: J.P. Morgan, JPMaQS

Figure 3: JPY & AUD are the richest on average while USD & CAD screen cheapest

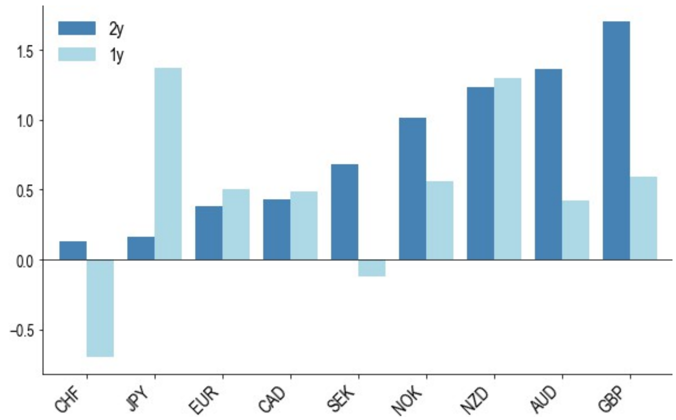
R-squared-weighted z-score of residual by currency



Source: J.P. Morgan, JPMaQS

Figure 4: All G10 screen fair to rich vs USD; GBP & AUD screen the richest

CCY/USD pairs z-score of residual



Source: J.P. Morgan, JPMaQS

Figure 5: EUR/USD screen slightly rich vs fair value (fair value 1.13-1.14 on 2y models); GBP/USD is now significantly rich as fair value fell to the 1.28 handle on 2y models; USD/CHF screen cheap (FV 0.83-0.84 handle)

Fair value of USD pairs based on : 2y OIS rate spread and relative JPMaQS commodity terms of trade; peripheral spreads included for EUR/USD

		EUR/USD	GBP/USD	AUD/USD	NZD/USD	USD/CAD	USD/NOK	USD/SEK	USD/CHF	USD/JPY
Spot		1.1535	1.34655	0.70415	0.58785	1.4021	9.54025	9.48955	0.8102	158.205
FV	2y model	1.1371	1.2844	0.6804*	0.5748	1.4109	9.9505*	10.0895	0.8397	158.1976*
	1y model	1.1507	1.3367	0.6915*	0.5771	1.4042*	9.7415*	9.5016	0.8051*	159.5547*
Rsq	2y model	0.76	0.24	0.75	0.60	0.63	0.77	0.37	0.12	0.36
	1y model	0.46	0.02	0.83	0.52	0.51	0.67	0.20	0.48	0.56

* = coefficient of rate spread or commodity terms-of-trade is negative and significant; spot refs as of 06-08 2026 COB
Source: J.P. Morgan

Chart of the week

Figure 6: AUD/NZD has sold off, but the move in fair value suggegsts it should be even lower

AUD/NZD vs 2y regression model based on 2y OIS rate differentials & relative CTOT; R-squared 0.92; z-score +0.42 s.d.

Source: J.P. Morgan, JPMaQS

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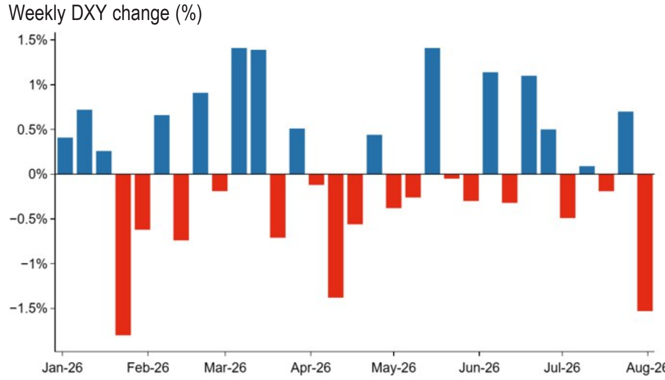
Macro Trade Recommendations

- **We have been long USD since mid-May but now tactically neutralise given recent misses in US data, while remaining vigilant for signs of Fed tightening.**
- **We close our long-USD basket (vs DM low-yielders) at a modest loss, leaving us with only residual USD length (via short-CHF basket) in our portfolio.**
- **The near-term USD outlook remains highly data-dependent; we would consider re-engaging if US data were to firm again. US CPI on Wed is the next test.**
- **Carry remains the higher-conviction theme in our portfolio as the global backdrop is still supportive, particularly with growth momentum outside the US continuing to improve.**
- **Coordinated US-Japan intervention makes JPY a more hazardous funder, thereby reinforcing the relative appeal of CHF shorts; hold short-CHF basket (vs AUD, USD & HUF).**
- **The broader carry regime has proven resilient despite the JPY shock, with only limited contagion thus far (unlike summer 2024); stay short CAD/MXN (with a tighter stop) as our preferred global carry expression.**
- **The Scandinavian outlook has become less supportive of broad SEK shorts; hit take-profit-stops on EUR/SEK & AUD/SEK longs, but hold legacy NOK/SEK call spread into expiry.**
- **On net, this leaves us with a lighter portfolio that is centered more clearly on our higher-conviction carry theme, with only limited residual USD length.**
- **New trades: None.**
- **Closed trades: Close long-USD basket (vs EUR, CHF, CAD, SEK & NZD) at a modest loss. Hit take-profit-stops on EUR/SEK and AUD/SEK longs.**
- **Existing trades: Short CHF vs USD, AUD, HUF basket; short CAD/MXN; long NOK/SEK in options**

We have been long USD since mid-May but now tactically neutralise given recent misses in US data, leaving us with a portfolio that is centered more clearly on our higher-conviction carry theme. Our portfolio has seen mixed performance in recent weeks amid a series of market shocks, including: 1) an FOMC-driven USD selloff (see here), 2) coordinated US-Japan yen-buying intervention and subsequent scrutiny of the broader FX carry regime (see here, here & here), and 3) a weak US payrolls report that added to a run of recent tier-1 US data misses (see here & here). These developments have admittedly dealt a tactical setback to the bullish-USD view, and **we tactically neutralise our long-USD basket (vs DM low-yielders) at a modest loss, leaving only limited residual USD exposure through our short-CHF basket.** But needless to say, the near-term USD outlook remains highly data-dependent and we would consider re-engaging if US data were to firm again; US CPI on Wed is the next test. Meanwhile, carry remains the higher-conviction trading theme within our portfolio, particularly as the recent JPY shock has generated only limited contagion so far (unlike summer 2024). We therefore retain our short-CHF basket (vs AUD, USD & HUF) and also stay short CAD/MXN (with a tighter stop). Elsewhere in Europe, we hit the take-profit-stops on some SEK cash shorts (vs EUR & AUD), but refrain from adding fresh exposure as the domestic outlook has turned more SEK-supportive. On net, this leaves us with a lighter portfolio that is centered more clearly on our higher-conviction carry theme.

Figure 1: DXY saw its second-largest weekly decline of 2026 around the July FOMC decision and JPY intervention

Weekly DXY change (%)



Source: J.P. Morgan, Bloomberg Finance L.P.

The USD has suffered a tactical setback from recent US developments, and we close our long-USD basket (vs EUR, CHF, CAD, SEK & NZD) at a modest loss after today's weak US payrolls report. The USD initially fell sharply around the July FOMC decision as markets placed greater emphasis on Chair Warsh's press conference than the three hawkish dissents, with subsequent JPY-buying intervention adding a further drag (Figure 1). We have long argued that the bullish-USD view was always more data-contingent and lower conviction than our constructive view on carry (see here), and the incoming data have now crossed our threshold for reassessment. Indeed, today's weak US payrolls report (-23k headline with -103k two-month revision) marked a second consecutive NFP miss, to go along with the downside CPI/PPI surprises last month. Taken together, this weakens the case for near-term Fed tightening even despite recent strength in other indicators like ISM and jobless claims. Meanwhile, growth momentum outside the US continues to

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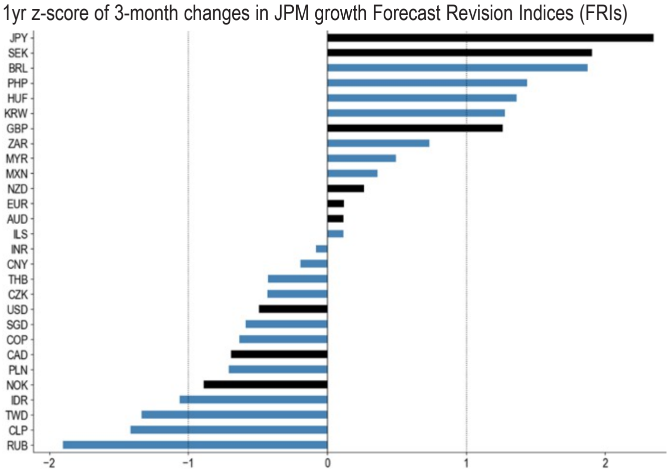
improve, further reducing the tactical appeal of broad USD longs (Figure 2). **With more than 30bps of cumulative Fed tightening still priced by end-1Q27, the USD remains vulnerable to a further repricing of rate expectations if next week's CPI undershoots. We therefore move closer to neutral on the dollar, leaving only residual USD length via our short-CHF basket**, and expect the dollar to remain broadly range-bound unless Fed hikes return more decisively into play or the global growth backdrop deteriorates materially. **We would consider re-engaging in USD longs if US data were to firm again; CPI on Wed is the next test.**

Figure 2: Growth momentum outside the US continues to improve, further reducing the tactical appeal of broad USD longs

1yr z-score of 3-month changes in JPM growth Forecast Revision Indices (FRIs)

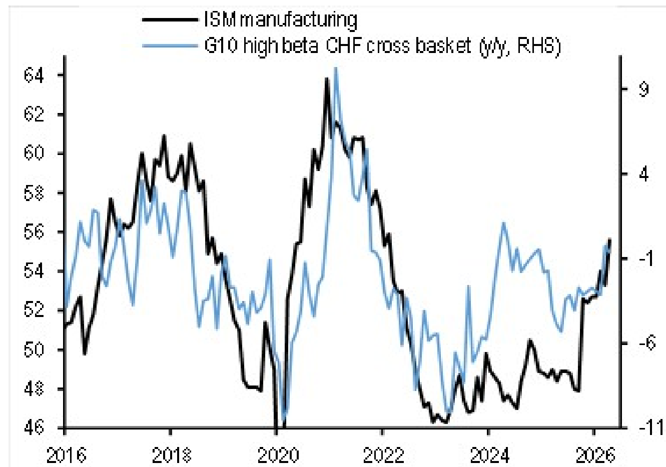


See *FX Macro Quant*
Source: J.P. Morgan

Coordinated US-Japan intervention makes JPY a more hazardous funder, thereby reinforcing the relative appeal of CHF shorts; retain short-CHF basket (vs AUD, USD & HUF). As discussed in further detail here, stronger-than-expected official resistance to yen weakness should constrain USD/JPY upside beyond 164, but the limited impact of intervention flows on underlying supply-demand dynamics is unlikely to generate sustained downside below 150. We therefore retain our medium-term bearish-JPY bias and keep our existing USD/JPY targets unchanged (3Q: 160, 4Q: 164). However, limited visibility around the timing and scale of further intervention keeps us tactically neutral on JPY rather than adding fresh short exposure at this juncture. The cleaner implication, in our view, is that recent JPY developments should reinforce the appeal of alternative carry funders like CHF (as originally discussed in *Themes favouring continued CHF funding*), particularly as the global backdrop remains conducive to FX carry. This partly informs our decision to hold onto our short-CHF basket, which is also positively geared to the global cyclical backdrop (Figure 3). One risk to monitor is that short-CHF positioning already screens as sizable across futures and options (Figure 4), though this is more concentrated in USD/CHF than EUR/CHF.

Figure 3: Our short-CHF basket is positively geared to the global cyclical backdrop

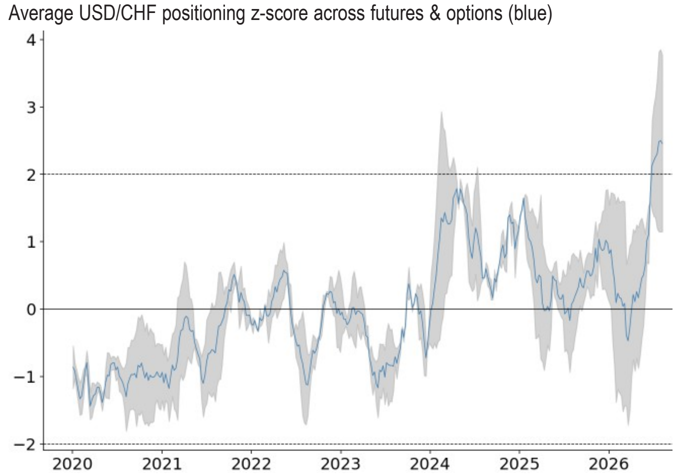
LHS: ISM manufacturing \\\ RHS: Short-CHF basket returns (y/y %)



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 4: Short-CHF positioning already screens as sizable across futures and options, though this is more concentrated in USD/CHF than EUR/CHF

Average USD/CHF positioning z-score across futures & options (blue)



Shaded gray area shows range between futures z-score & options z-score
Source: J.P. Morgan, CFTC, DTCC

The broader carry regime has proven resilient despite the JPY shock, with only limited contagion thus far (unlike summer 2024); stay short CAD/MXN (with a tighter stop) as our preferred global carry expression. Despite several recent headwinds — including a sharp oil selloff, equity volatility, and the first coordinated yen-buying intervention since 1998 — drawdowns across our carry baskets remain modest (~1-2% from their peaks), with JPY accounting for most of the losses and little evidence of contagion to other low-yielders (Figure 5). This stands in sharp contrast to summer 2024,

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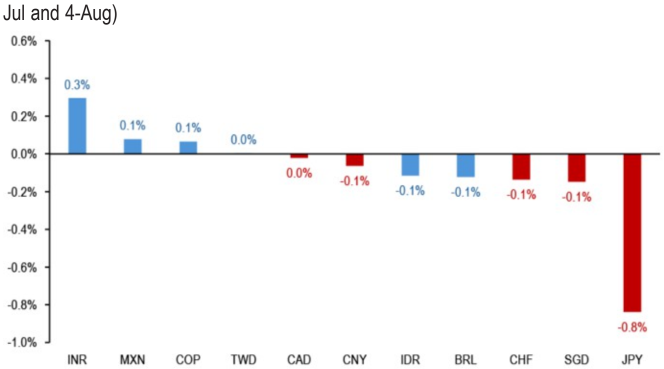
when the global risk-adjusted carry basket fell ~7% and the entire FX cross-section priced a broad unwind, with low-yielders strengthening as high-yielders sold off (Figure 6). This time, higher-yielding currencies have generally held up well, reinforcing our constructive view on global carry even as we remain more cautious on G10 expressions given their greater exposure to oil volatility (see further detail here). We therefore stay short CAD/MXN as our preferred global carry expression, which continues to benefit from NorthAm trade-related r.v. following the recently-announced Section 338 tariffs on Canada (see here), even despite this week's strong CA payrolls report. Our EM strategists further note that MXN is less exposed to a carry unwind today than it was in 2024, though we nonetheless tighten the trailing stop on our position as it has moved in our favor.

Figure 5: Recent drawdowns across our carry baskets remain modest (~1-2% from their peaks), with JPY accounting for most of the losses and little evidence of contagion to other low-yielders

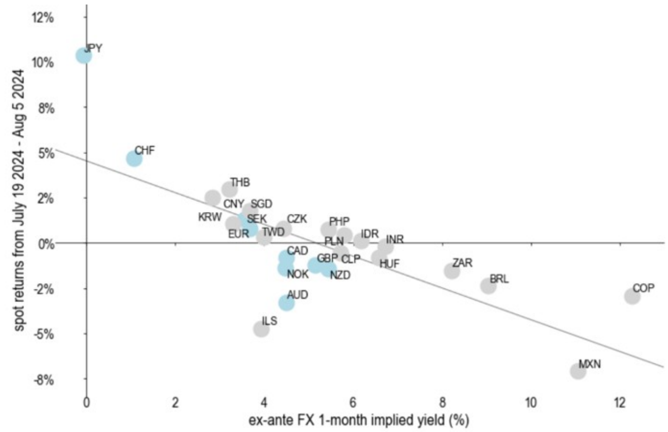
CCY/USD returns contribution in our Global risk-adjusted carry basket (between 24-Jul and 4-Aug)



See *FX Macro Quant*; Returns are for a weight of +20% for longs (blue) and -20% for shorts (red) in the basket
Source: J.P. Morgan

Figure 6: This stands in sharp contrast to summer 2024, when the global risk-adjusted carry basket fell ~7% and the entire FX cross-section priced a broad unwind, with low-yielders strengthening as high-yielders sold off

Y: CCY/USD spot returns between 19-Jul-24 and 5-Aug-24
X: Ex-ante CCY implied yield on 1M forward



See *FX Macro Quant*
Source: J.P. Morgan

The Scandinavian outlook has become less supportive of broad SEK shorts; hit take-profit-stops on SEK shorts vs EUR & AUD, but hold legacy NOK/SEK call spread into Monday's expiry. SEK has seen the sharpest two-week improvement in its TEAM macro score among all global currencies (Figure 7), with this week's upside surprise on core inflation marking a third consecutive consensus beat (after six prior misses). Taken together with domestic growth data that has generally improved over recent months, this argues against rebuilding our EUR/SEK and AUD/SEK short positions after both hit their trailing profit stops. Meanwhile, the near-term NOK trajectory will take its cue from next week's Norwegian CPI release, as a hawkish print could support NOK via increased expectations for a Norges Bank hike in September. But with NOK still highly sensitive to global developments via energy prices and the broader USD backdrop, we refrain from adding any fresh exposure ahead of the CPI release and hold our legacy NOK/SEK call spread into expiry.

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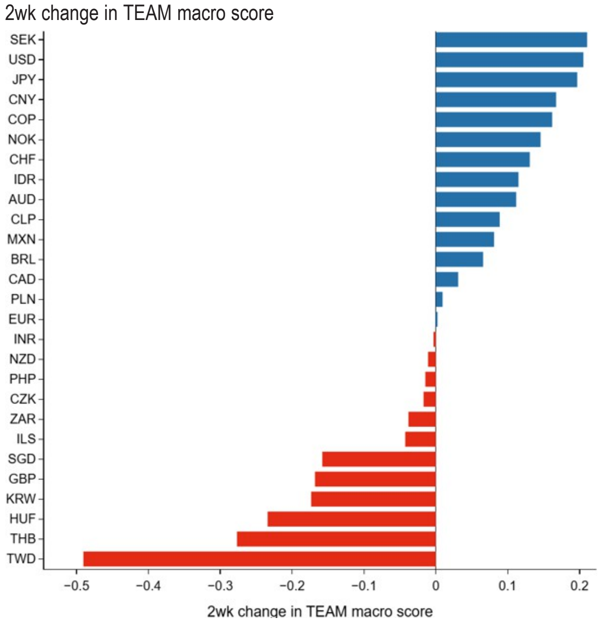
Figure 7: SEK has seen the sharpest two-week improvement in its TEAM macro score among all global currencies

2wk change in TEAM macro score



See *FX Models* section
Source: J.P. Morgan

Trades

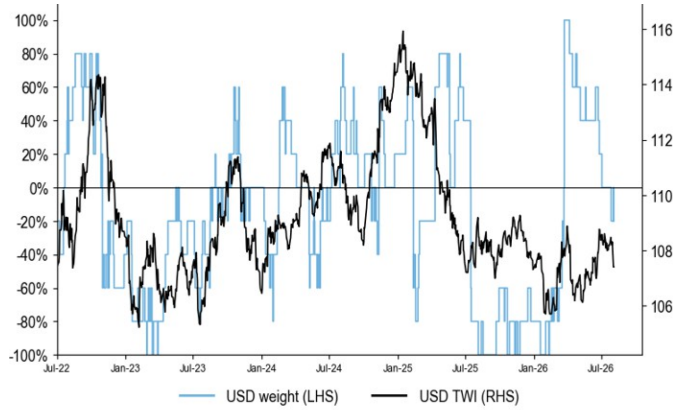
- **Close long-USD cash basket vs DM low-yielders (EUR, CHF, CAD, SEK, NZD) at a modest loss**

We neutralise our long USD basket after today's weak US payrolls report. With Rest of World growth picking up relative to the US (*see FX Macro Quant, Delair et al*) and key US data releases disappointing (including the last two payrolls report and CPI report), the risk-reward for being long USD into next week's inflation release isn't attractive on a tactical basis in our view. The potential for JPY intervention also complicates any long USD position, as the inability of USD/JPY to participate in any broader USD strength may hold back the dollar complex. With over 30bps of Fed tightening priced cumulatively by early next year, running a long USD position is susceptible to a re-pricing of Fed expectations on any undershoot for US CPI next week. Our US economist forecasts a 0.2% m/m outturn on core inflation, inline with consensus. Today's payrolls report, while still favouring carry friendly environment (with the dollar itself being a high yielder), will take the hawkish sting out of the Fed's bias, particularly with -103k of downward revisions, which change the framing of the labour market and introduce some contrast and uncertainty relative to other data such as jobless claims which have been printing new multi-decade lows. Despite the dollar continuing to trade cheap to 5y real yield spreads, we deem it prudent to neutralise dollar exposure, while remaining open to re-initiaing dollar longs if tier one US data improves materially.

- **Close long USD cash basket vs DM low-yielders (EUR, CHF, CAD, SEK, NZD). Spot refs. 1.1478 / 0.8030 / 1.4155 / 9.5547 / 0.5741. Stop loss -1.5%. Marked at -0.69%.**

Figure 8: The USD weight in our economic momentum framework has dropped further to -20%, the lowest level observed since March 2026

Net USD weight in our growth momentum framework (based on the balance of growth momentum globally: i.e. downside/upside is USD positive/negative).



Source: J.P. Morgan FX Macro Quant (link)

- **Stay short CHF vs AUD, USD, HUF in cash**

Our short CHF basket has continued to have mixed performance despite the continued trend higher in EUR/CHF since the start of July. The hit has come from the long candidates instead: (1) the dollar Fed-and later payrolls-induced sell-off and (2) HUF's idiosyncratic positioning unwinds amid a dovish NBH and lack of positive newsflow (reinforced further by today's downside inflation surprise). For the former, the case has become less strong but we maintain it given the overall carry-favourable environment that supports the dollar over the franc; in case of the latter our EM strategists remain bullish amid a constructive medium-term story.

While the franc rallied in sympathy with the yen on the kneejerk around intervention, it retraced over upcoming days given the intervention threat does not loom over it. Instead, the **SNB reminded us that it franc weakness,** as shown by the release of the sources article suggesting the SNB will be on hold throughout 2027. We do not rely on ongoing intervention as a pillar for our shorts, but it does help that the SNB's bias is in their favour. Beyond this, continued resiliency in global activity data as underlined by our economists' continued upward growth revisions keeps us focused on trying to maintain long nominal growth exposure via structures such as the high beta G10 basket vs CHF.

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The risk is a broader risk-off induced carry unwind of the likes of 2024. As discussed in the Outlook section, the contours of today are different and the carry trade has been more resilient. **We are mindful that positioning screens very short CHF** (albeit vs USD, not vs EUR which is more neutral) which provides an additional layer of risk; however, the fact that macro factors (global growth, supportive carry environment, lack of focus on debasement) are all supportive of CHF shorts keeps us in the trade. A return of fiscal worries and the debasement trade would be another CHF risk.

We hold the AUD long into the RBA next week, who are likely to maintain a moderate tightening bias while spot inflation is high, even if not acting on it, so for the front end too, curve trades are preferable to outright received positions. AUD remains one of our TEAM model longs with a favourable carry position despite slightly softer CPI data recently.

- **Hold short CHF vs AUD, USD, HUF cash basket. Spot refs. 0.5661/ 0.8030 / 381.1770. Stop loss -2.5%. Marked at +0.27%.**

- **Hit take-profit trailing stops in long EUR/SEK and AUD/SEK**

We hit our take-profit trailing stop on our long EUR/SEK trade recommendations and now stay on the sidelines. EUR/SEK upside would require US yields to resume their rise, in our view, as other key drivers are either neutral or SEK-positive: domestic data is stronger, equity momentum is close to neutral. The latter also turning in favour of Sweden would make the long-SEK case more convincing; as would lower US yields.

Domestic data has been improving increasingly; this also stands out cross-sectionally, with SEK seeing the second-largest growth upgrade momentum in global FX which has pushed it into the long basket of our optimised TEAM model (*FX Macro Quant*, Delair et al). Core inflation printed significantly higher than both consensus and the Riksbank expected at 0.6%oya (cons 0.3%, Riks 0.24%); this is the third beat to consensus expectations in a row after six consecutive misses prior (Figure 9). We only see inflation beats as positive with SEK when they come amid better growth too (which is the case for now). Since early 2025, EUR/SEK's up-and-down cycles have coincided with growth cycles of improving and deteriorating growth; however, each of those cycles could also be explained by either equity momentum or US yields moving in that direction (Figure 10and Figure 11); we thus do not think growth on its own can drive significant SEK upside without one of the other two also helping.

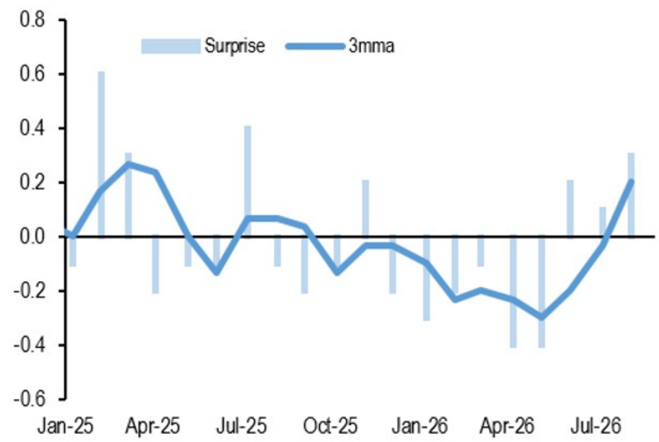
We maintain long AUD exposure in our short CHF basket; see above.

- **Hit take-profit trailing stop on long EUR/SEK in cash. Spot ref. 10.8966. Marked at +1.00%.**

- **Hit take-profit trailing stop on long AUD/SEK. Spot ref. 6.7150. Marked at +0.75%.**

Figure 9: Core inflation beat expectations for the third time in a row, after six consecutive misses

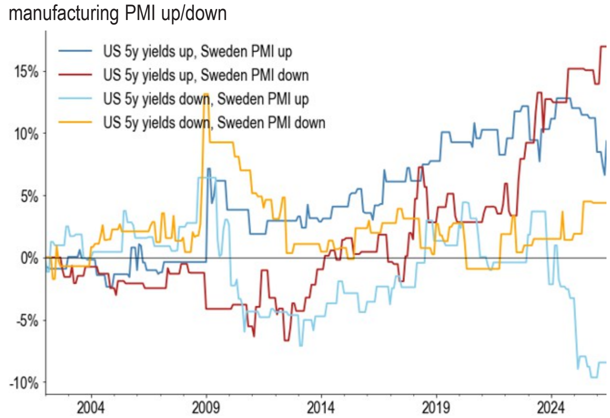
Surprise relative to Bloomberg consensus and 3m moving average



Source: Bloomberg L.P., J.P. Morgan

Figure 10: Domestic growth is usually not enough: over time, ex-2025, EUR/SEK has mostly only been able to decline when Swedish PMI was up if US yields were *also* declining

Cumulative returns in EUR/SEK in months of US yields up/down, Sweden manufacturing PMI up/down



Source: J.P. Morgan

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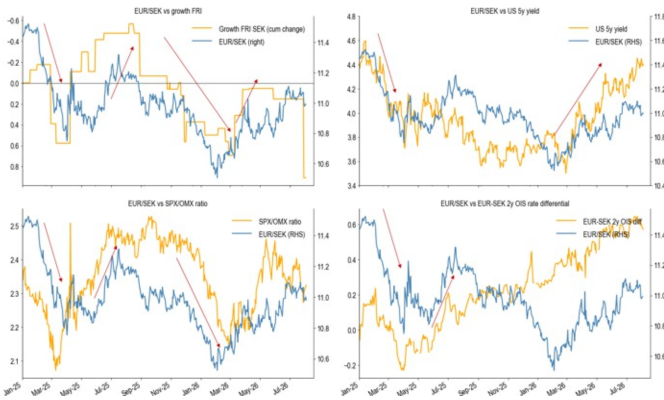
Figure 11: Since early 2025, EUR/SEK upward-and-downward trends have coincided with growth forecast revisions, but each of these could also be explained by equity momentum or US yields moving

EUR/SEK vs main drivers



Source: Bloomberg L.P., J.P. Morgan

- **Hold long NOK/SEK in options**

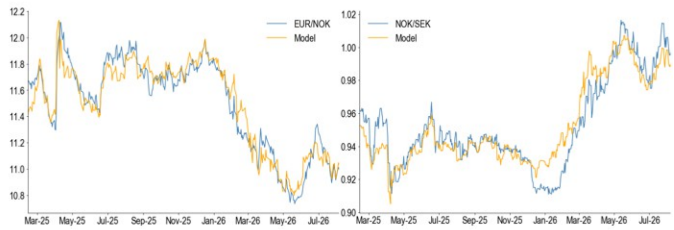
NOK/SEK has continued to take its cue from energy prices; our trade is close to expiry (Monday) and would likely need weekend escalation or a significantly hot inflation print to finish in the money. We do think that NOK/SEK continues to have merits from a carry standpoint, but while energy price volatility remains high, it is likely to continue to be the main driver.

Norges Bank is expected to leave rates on hold next week although Monday's CPI report could have an impact on guidance and how NOK trades through the week. There are no new forecasts but with inflation tracking below Norges Bank expectations (CPI at 2.7% y/y vs 3.2% in June), the central bank's guidance for a further hike is more likely at the September forecast round rather than the August meeting, which limits the NOK reaction next week. There is less immediate inflation risk but wage growth is high and growth prospects are looking firm (though GDP tracking 0.2%q/q vs 0.4% NB forecast), which creates sticky price pressures keeping the central bank in a hawkish tightening bias and supporting NOK. Our economist expects Monday's inflation report to show some seasonal rebound but leave inflation below NB forecasts. The currency is less of a focus for the central bank at this stage given how sticky inflation has been. The rate path in June implied a 40% chance of an August hike, but markets now price 6bps for August and September is the focus at 13.5bps, where our economist still forecasts a hike. NOK trades around fair vs EUR (11 FV) and SEK (0.99 FV; Figure 12) but uncertainty in the energy markets due to the Iran conflict plus the carry in the krone make it a hard currency to short in our view and we have a cautious long bias. We are long NOK/SEK in options but it's due to expire on Monday.

- **Hold NOK/SEK 3m call spread. K = 1.01/1.03. Spot ref. 1.0004. Cost 52bps. Marked at 0bps.**

Figure 12: NOK screens fair vs EUR and very slightly rich vs SEK

EUR/NOK and NOK/SEK vs models regressed on 2y rate differentials, relative JPMaQS commodity terms of trade and VIX



Source: JPMaQS, J.P. Morgan

- **Stay short CAD/MXN in cash**

Our CAD/MXN short has fared well in recent weeks as the broader market environment remains supportive of FX carry, even despite some improvement in domestic CA data. As discussed above, short CAD/MXN remains our preferred global carry expression given the overlay of NorthAm trade-related r.v. which continues to play out following the recently-announced Section 338 tariffs on Canada (see here). Indeed, the pair has drifted towards its YTD-lows near 12.30 as it remains more closely geared to supportive global conditions (ie. softer USD & better growth momentum outside the US — Figure 2) than domestic developments. Indeed, this week's strong CA payrolls report (+75.1k headline vs +20.0k consensus) continued the string of solid 2Q (and now 3Q) growth outturns in Canadian activity data. The question going forward is when and whether sufficient slack is coming out of the CA economy to pressure BoC hikes; OIS markets continue to price less than one full BoC hike by year-end. Moreover, our EM strategists further note that MXN is less exposed to a carry unwind today than it was in 2024, particularly as underlying fundamentals remain solid. As such, we retain our CAD/MXN short with the Section 338 tariff deadline approaching closer in the next few weeks, though we tighten the trailing stop on our position as it has moved in our favor.

- **Stay short CAD/MXN in cash. Spot ref. 12.5695. Tighten take-profit stop to +2%. Marked at +3.60%.**

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Table 1: Current FX spot recommendations and P&L

Long	Short	Entry date	Entry level	Current level	Stop loss*	P&L since entry	Comments
USD	NZD, SEK, CAD, CHF, EUR	19 Jun 26	0.5741 / 1.4155 / 9.5547 / 0.803 / 1.1478	0.5884 / 1.3943 / 9.4785 / 0.8084 / 1.1555	-1.5%	-0.69%	Close at a loss
EUR	SEK	5 Jun 26	10.8966	11.0056	+1.00%	1.00%	Hit trailing take-profit stop
AUD	SEK	19 Jun 25	6.7150	6.7452	+0.75%	0.75%	Hit trailing take-profit stop
MXN	CAD	17 Apr 26	12.5695	12.2972	+2.0%	3.60%	Move trailing stop to +2%
AUD, USD, HUF	CHF	19 Jun 26	0.5661 / 0.803 / 381.177	0.5707 / 0.818 / 389.126	-2.5%	0.27%	Hold

Marked at 4:00pm BST. *Stop-loss / take-profit levels expressed in total return terms (accounting for carry) unless specified.

Source: J.P. Morgan.

Table 2: Current FX derivatives (directional/non-RV) recommendations and P&L

	Entry date	Expiry date	Days to expiry	Entry level	Current level	P&L since entry**	Comments
Buy NOK/SEK 3m call spread. K = 1.01/1.03. Spot ref. 1.0004. Cost 52bps.	08 May 26	10 Aug 26	3	0.52%	0.00%	-0.52%	Hold

** P&L in % of asset unless otherwise specified. Marked at 4pm BST.

Source: J.P. Morgan

Table 3: Performance Statistics

	2026	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008	2008-2025 avg
I. *Macro Trade Recommendations* portfolio																				
Cash																				
# of trades	**21**	50	36	17	39	37	44	27	30	46	38	51	55	54	28	42	89	63	85	46
Success rate	**81%**	74%	67%	53%	67%	43%	43%	48%	60%	43%	55%	51%	56%	56%	61%	57%	53%	65%	59%	56%
Average return per trade (%)	**1.62%**	0.18%	0.00%	-0.62%	1.00%	-0.35%	0.29%	0.22%	-0.01%	-0.52%	0.37%	0.19%	-0.09%	0.47%	0.25%	0.03%	0.02%	0.97%	1.96%	0.24%
Average holding period (calendar days)	**58**	45	28	36	41	41	34	37	32	51	37	20	28	20	25	25	24	20	31	32
Derivatives (non-digital)																				
# of trades	**7**	11	13	21	17	9	5	17	13	16	26	27	30	32	33	27	27	21	3	19
Success rate	**71%**	45%	46%	38%	53%	33%	80%	41%	31%	44%	54%	48%	50%	31%	61%	74%	62%	62%	0.0%	47%
Average return per trade (%)	**0.28%**	-0.08%	0.00%	-0.38%	0.25%	-0.01%	0.34%	0.06%	-0.26%	-0.17%	0.40%	0.93%	0.02%	-0.13%	0.13%	0.94%	0.34%	0.55%	-0.57%	0.13%
Average holding period (calendar days)	**52**	90	64	59	51	42	62	51	47	62	52	66	46	65	58	71	54	59	66	59
Derivatives (Digital)																				
# of trades	**5**	1	4	4	7	1	3	2	2	2	11	3	2	3	5	10	4	21	5	5
Success rate	**40%**	0%	0%	0%	43%	0%	25%	0%	50%	0%	45%	33%	100%	67%	80%	50%	25%	38%	20%	32%
Average return per trade (%)	**7%**	-9%	-13%	-23%	-1%	-11%	-4%	-8%	-4%	-23%	-1%	5%	49%	25%	12%	-1%	-7%	5%	-4%	-1%
Average holding period (calendar days)	**105**	98	139	88	85	93	68	112	87	67	36	56	86	60	38	87	60	55	54	76
II. *FX Derivatives* portfolio (relative value)																				
Vol r.v																				
# of trades	**14**	24	23	24	30	26	27	16	25	34	52	58	51	36	41	37	45	32	13	33
Success rate	**86%**	67%	61%	58%	60%	62%	67%	38%	48%	59%	67%	60%	57%	58%	54%	62%	69%	63%	77%	60%
Average return per trade (%)*	**1.0**	0.5	0.0	0.0	0.0	0.8	0.4	-0.5	-0.5	-0.1	0.1	0.2	0.0	0.3	0.1	0.1	0.7	0.1	0.3	0.1
Average holding period (calendar days)	**57**	63	73	77	50	58	65	69	81	63	62	56	80	73	81	47	99	73	53	68
Vol plus directional r.v																				
# of trades	**5**	9	5	7	5	3	6	13	7	15	6	15	9	3	11	14	4	-	-	8
Success rate	**40%**	67%	80%	71%	60%	67%	67%	54%	43%	60%	50%	60%	67%	33%	91%	79%	50%	-	-	62%
Average return per trade (bp)	**-39**	33	30	53	29	70	-7	6	-24	-13	-18	25	55	-182	37	16	-8	-	-	6
Average holding period (calendar days)	**42**	55	70	69	69	82	36	85	108	69	50	73	92	138	81	27	50	-	-	72
Digital																				
# of trades	**6**	4	11	7	1	4	3	2	1	1	10	2	2	6	6	2	-	-	3	4
Success rate	**67%**	100%	45%	29%	0%	50%	0%	50%	100%	0%	40%	0%	50%	33%	50%	50%	-	-	33%	39%
Average return per trade (%)	**9%**	27%	-3%	-4%	-10%	20%	-18%	15%	9%	-7%	11%	-14%	-6%	-7%	-7%	-13%	-	-	8%	0%
Average holding period (calendar days)	**53**	67	74	97	29	47	75	34	49	157	37	94	59	92	51	25	-	-	33	64

*P&L in vol points. Source: J.P. Morgan

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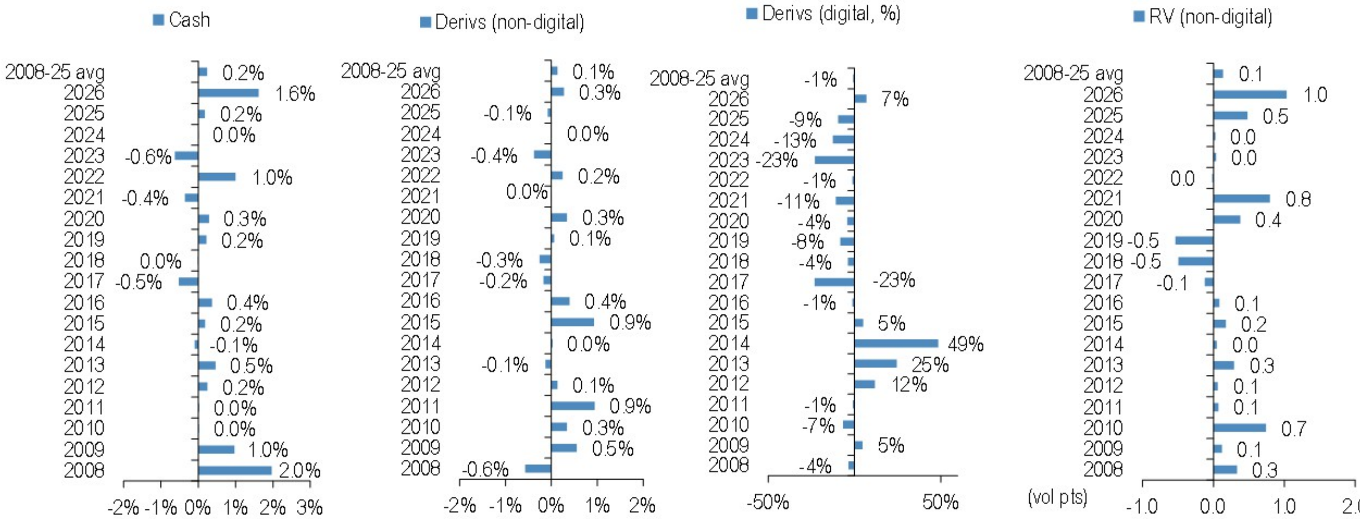
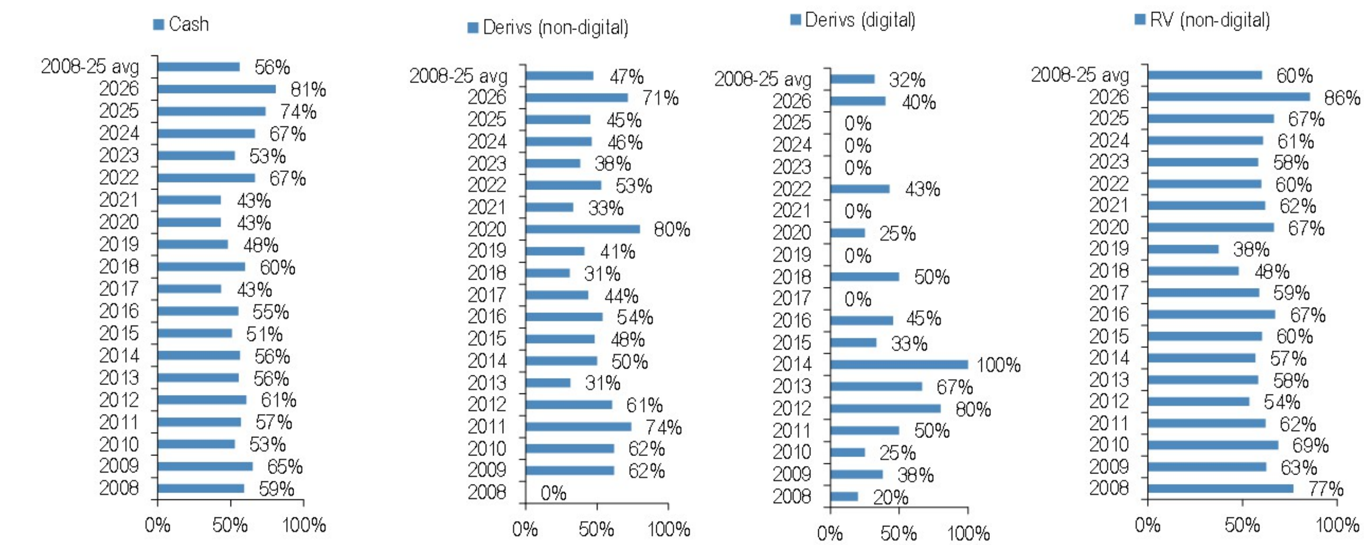
Performance summary: Average returns per trade



Source: J.P. Morgan

Performance summary: Success rate by type of trade



Source: J.P. Morgan

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II. Trades closed over the past 12 months

Macro Trade Recommendations portfolio

Cash

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
SEK	CHF	12 Dec 25	11.6780	16 Jan 26	11.5121	1.6%
EUR, AUD	JPY	9 Jan 26	183.72 / 105.465	23 Jan 26	184.02 / 107.28	1.0%
SEK	EUR	14 Nov 25	10.9678	27 Feb 26	10.6824	2.5%
GBP, SEK	CZK	30 Jan 26	28.0832 / 2.3095	27 Feb 26	27.6446 / 2.2691	-1.7%
EUR	USD	6 Feb 26	1.1812	2 Mar 26	1.1768	-0.9%
AUD	USD	19 Sep 25	0.6592	3 Mar 26	0.7040	7.0%
MXN	CAD	14 Nov 25	13.0862	3 Mar 26	12.7700	3.9%
NOK, AUD	CAD	11 Sep 25	7.1296 / 0.9210	3 Mar 26	7.0597 / 0.9646	3.7%
NOK, CHF, SEK	USD, JPY	14 Nov 25	100.0000	3 Mar 26	103.5000	3.5%
AUD	EUR	19 Jan 26	1.7347	23 Mar 26	1.6549	5.0%
AUD, NOK	SEK	6 Feb 26	6.3173 / 0.9295	23 Mar 26	6.5597 / 0.9615	4.0%
AUD	SEK, GBP	27 Mar 26	6.4954 / 1.9323	8 Apr 26	6.5129 / 1.9066	0.9%
USD	EUR, SEK, GBP, NZD	13 Mar 26	1.1455 / 9.3841 / 1.3252 / 0.5816	8 Apr 26	1.1692 / 9.2365 / 1.3445 / 0.5839	-1.3%
GBP	SEK	23 Apr 26	12.4507	7 May 26	12.5497	0.9%
AUD, NOK	CAD	17 Apr 26	0.9855 / 6.8567	15 May 26	0.9854 / 6.7775	0.7%
NOK	CHF, JPY	17 Apr 26	12.0314 / 16.8837	9 Jun 26	11.9182 / 16.8762	1.0%
AUD	EUR	8 Apr 26	1.6571	9 Jun 26	1.6417	1.0%
NOK	CHF, JPY	12 Jun 26	11.9548 / 16.8310	29 Jun 26	12.2482 / 16.3221	-2.5%
GBP	SEK, CHF, EUR	19 Jun 26	12.733 / 1.0713 / 0.8634	21 Jul 26	12.9771 / 1.0876 / 0.85069	1.9%
AUD	SEK	19 Jun 25	6.7150	29 Jul 25	6.7452	0.8%
EUR	SEK	5 Jun 26	10.8966	30 Jul 26	11.0056	1.0%

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
JPY	EUR	14 Nov 24	164.6200	20 Jan 25	161.3276	1.6%
JPY	CHF	26 Nov 24	173.9440	20 Jan 25	171.3348	1.5%
NOK	PLN	26 Nov 24	2.7020	23 Jan 25	2.7831	-3.2%
USD	EUR	06 Nov 24	1.0781	24 Jan 25	1.0475	3.2%
CHF	EUR	06 Nov 24	0.9418	24 Jan 25	0.9510	-1.5%
JPY	CAD	10 Jan 25	109.8450	24 Jan 25	108.7430	0.9%
SEK	EUR	26 Nov 24	11.5323	24 Jan 25	11.4595	0.6%
AUD	CAD	24 Jan 25	0.9049	02 Feb 25	0.9078	0.4%
USD, JPY	CAD	02 Feb 25	1.4744 / 105.174	04 Feb 25	1.4375 / 107.851	-2.5%
SEK	EUR	24 Jan 25	11.4614	14 Feb 25	11.2323	0.6%
SEK	GBP	10 Jan 25	13.7365	14 Feb 25	13.4858	0.8%
JPY	EUR	31 Jan 25	160.9700	14 Feb 25	159.5805	0.3%
CHF	EUR	02 Feb 25	0.9379	14 Feb 25	0.9441	-0.7%
USD	EUR, GBP	02 Feb 25	1.0249 / 1.2240	14 Feb 25	1.0478 / 1.2581	-2.4%
JPY	NZD	31 Jan 25	87.5050	21 Feb 25	85.7220	0.9%
SEK	GBP	10 Jan 25	13.7365	21 Feb 25	13.4471	0.9%
SEK	EUR	24 Jan 25	11.4614	28 Feb 25	11.1502	0.7%
JPY	CHF	31 Jan 25	170.4860	05 Mar 25	168.0000	0.2%
NOK, AUD	USD	07 Mar 25	10.8479 / 0.6299	25 Mar 25	10.5053 / 0.63	1.6%
SEK	USD	05 Mar 25	10.2550	25 Mar 25	10.0506	0.9%
EUR	USD	05 Mar 25	1.0758	28 Mar 25	1.0824	0.2%
SEK	EUR	07 Mar 25	10.9264	28 Mar 25	10.8262	0.5%
DXY components	USD	05 Mar 25	104.5600	28 Mar 25	104.0400	0.4%
NOK	EUR	07 Mar 25	11.7579	03 Apr 25	11.3964	1.3%
AUD	EUR	28 Mar 25	1.7201	03 Apr 25	1.7426	-1.3%
JPY	CHF	07 Mar 25	167.7000	10 Apr 25	173.5695	-3.5%
EUR	GBP	04 Apr 25	0.8477	25 Apr 25	0.8566	1.0%
JPY	NZD, USD	28 Feb 25	4.3590 / 150.650	25 Apr 25	85.716 / 143.75	1.3%
NOK	SEK	02 May 25	0.9261	09 May 25	0.9383	1.4%
JPY	EUR	28 Mar 25	162.4800	09 May 25	163.5800	-0.9%
JPY	CHF	02 May 25	174.9530	20 May 25	174.1600	0.5%
AUD	NZD	02 May 25	1.0825	30 May 25	1.0776	-0.4%
NOK	CAD	30 May 25	7.4290	13 Jun 25	7.3023	1.8%
NOK, SEK	EUR	23 Apr 25	11.8130 / 10.911	20 Jun 25	11.3964 / 10.826	1.0%
AUD, NZD	USD	02 May 25	0.6444 / 0.6017	28 Jul 25	0.6559 / 0.601	0.4%
JPY	USD	02 May 25	144.5500	30 Jul 25	149.6093	-4.5%
NOK	CAD	27 Jun 25	7.3956	15 Aug 25	7.3739	0.5%
NZD	SEK	15 Aug 25	5.6642	21 Aug 25	5.5831	-1.4%
JPY	USD	01 Aug 25	148.1500	05 Sep 25	146.9500	0.5%
JPY	NZD	26 Sep 25	86.2380	09 Oct 25	88.3940	-2.6%
NOK, SEK	GBP	23 Apr 25	13.8000 / 12.756	14 Oct 25	13.3959 / 12.554	0.8%
CHF	EUR	26 Sep 25	0.9332	24 Oct 25	0.9247	1.3%
MXN	CAD	11 Sep 25	13.3970	27 Oct 25	13.1771	2.3%
NOK, SEK	EUR	20 Jun 25	11.6523 / 11.147	04 Nov 25	11.7328 / 10.965	1.0%
EUR	GBP	01 Aug 25	0.8710	06 Nov 25	0.8791	0.4%
NOK, CHF, SEK	USD, JPY, GBP	05 Sep 25	100.0000	06 Nov 25	101.0000	1.0%
NOK, SEK	GBP	17 Oct 25	13.5248 / 12.698	06 Nov 25	13.3940 / 12.572	1.0%
CHF	GBP	11 Jul 25	1.0762	06 Nov 25	1.0590	0.0%
EUR	USD	11 Apr 25	1.1341	14 Nov 25	1.1619	1.3%
SEK	GBP	14 Nov 25	12.4170	25 Nov 25	12.5184	-0.9%

Derivatives (non-digital)

Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m EUR/GBP put spread. K = 0.88 / 0.8680. Spot ref. 0.8808. Cost 46.1bps.	25 Nov 25	0.46%	07 Jan 26	0.96%	0.5%
Buy 2m EUR/USD call spread. K = 1.17 / 1.1950. Spot ref. 1.1619. Cost 57.5bps.	14 Nov 25	0.58%	16 Jan 26	0.00%	-0.6%
Buy 3m EUR/USD call spread. K = 1.17 / 1.19. Spot ref 1.1603. Cost 50.5bps.	16 Jan 26	0.51%	27 Jan 26	1.13%	0.6%
Buy 4m EUR/NOK put spread. K = 11.75 / 11.55. Spot ref. 11.7901. Cost 59bps.	25 Nov 25	0.59%	29 Jan 26	1.27%	0.7%
Buy 4m GBP/CHF, AUD/CHF, SEK/CHF worst-of call, 1% OTM strike. Cost 28bps.	25 Nov 25	0.28%	24 Mar 26	0.00%	-0.3%
Buy 3m 40d/20d USD/CAD call spread (k=1.3782 / 1.3982). Spot ref 1.3755. Cost 38bps.	15 May 26	0.38%	12 Jun 26	0.83%	0.5%
Buy 14-Aug EUR/USD put spread. K = 1.1650/1.14. Spot ref 1.1669. Cost 58bps.	15 May 26	0.58%	19 Jun 26	1.12%	0.5%

Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy NOK/SEK 3m call spread. K = 1.00 / 1.0250. Spot ref. 0.9898. Cost 47.5bps	26 Nov 24	0.48%	24 Jan 25	0.04%	-0.4%
Buy EUR/JPY 3m put spread. K = 160 / 156. Spot ref 161.88. Cost 84bps.	03 Jan 25	0.84%	21 Feb 25	1.68%	0.8%
Buy EUR/NOK 6m put spread. K = 11.70 / 11.40. Spot ref. 11.8403. Cost 82bps	25 Oct 24	0.82%	21 Feb 25	0.83%	0.0%
Buy GBP/NOK 3m put spread. K = 13.80 / 13.50. Spot ref. 13.9435. Cost 67.5bps.	26 Nov 24	0.68%	28 Feb 25	0.00%	-0.7%
Buy EUR/USD 4m put spread. K = 1.05 / 1.02. Spot ref. 1.0530. Cost 77bps.	15 Nov 24	0.77%	28 Feb 25	1.03%	0.3%
Hold CAD/JPY 6m vanilla put. K = 102.97. Spot ref. 105.20. Net cost 159bps.	10 Sep 24	1.59%	10 Mar 25	1.03%	-0.6%
Buy EUR/SEK 3m put spread. K = 11.15 / 10.90. Spot ref 11.1569. Cost 80bps.	28 Feb 25	0.80%	28 Mar 25	1.77%	1.0%
Buy EUR/USD 3m call spread. K = 1.09/1.12. Spot ref 1.0825. Cost 89.2 bps.	28 Mar 25	0.89%	23 Apr 25	2.11%	1.2%
Buy EUR/JPY 2m put spread. K = 155 / 151.50. Spot ref 156.70. Cost 72bps.	28 Feb 25	0.72%	01 May 25	0.00%	-0.7%
Buy EUR/SEK 3m put spread. K = 10.75/10.55. Spot ref 10.8250. Cost 59.5bps.	28 Mar 25	0.60%	26 Jun 25	0.00%	-0.6%
Hold 6m USD/CAD vanilla put. K = 1.3550. Spot ref. 1.3655. Net cost 123bps.	27 Jun 25	1.23%	24 Dec 25	0.00%	-1.2%

Derivatives (digital)

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m GBP/USD > 101.5% ATMS & UKX > 105% ATMS dual digital. Cost 15.0% GBP offer.	25 Nov 25	15.0%	16 Jan 26	52.0%	37.0%
Buy 6m NOK/JPY at-expiry digital call. K = 16.20. Spot ref. 15.33. Cost 17.8%.	25 Nov 25	17.8%	13 Mar 26	60.8%	43.0%
Buy 2m EUR/USD at-expiry digital call. K = 1.2350. Spot ref. 1.1940. Cost 15.2%.	27 Jan 26	15.2%	26 Mar 26	0.0%	-15.2%
Buy 4m CHF/SEK at-expiry digital put. K = 11.30. Spot ref. 11.8242. Cost 11.2%.	25 Nov 25	11.2%	27 Mar 26	0.0%	-11.2%
Buy 6m USD/JPY one-touch digital call. K = 170. Spot ref. 156.7695. Cost 18.6%.	25 Nov 25	18.6%	27 May 26	0.0%	-18.6%

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Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m EUR/GBP 0.8550 / EUR/CHF 0.99 topside dual digital. Cost 9.45%.	14 Mar 25	9.5%	20 Jun 25	0.0%	-9.5%

FX Derivatives portfolio (relative value)

Vol r.v.

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy a 3M EUR/MXN atm/25d ratio call spread 1*1.5 vega notionals	24 Nov 25	-5.8	23 Jan 26	-4.9	0.9
Buy a 3M USD/CNH atm/25d ratio put spread, 1*2 vega notionals	24 Nov 25	-3.4	23 Jan 26	-2.6	0.8
Buy 6M delta-hedged USD/CHF 25d risk-reversals	16 Jan 26	0.9	30 Jan 26	2.9	1.9
Buy a 1M3M FVA in AUD/USD	24 Nov 25	9.1	30 Jan 26	10.0	0.9
Sell 3M USD/SEK via GBP correlation	24 Nov 25	-2.0	24 Feb 26	-2.4	0.4
Buy delta-hedged 4M USD/BRL atm/25 delta 1*1.5 ratio call spread	23 Jan 26	8.6	27 Mar 26	8.8	0.2
Sell 4M EUR/BRL delta-hedged straddle	27 Mar 26	13.7	17 Apr 26	11.3	2.3
Sell 3M delta-hedged CHF/JPY 25d risk-reversals	30 Jan 26	0.5	24 Apr 26	0.7	-0.2
Sell 3M GBP/CHF-GBP/USD correlation	20 Feb 26	-0.4	24 Apr 26	-1.4	1.0
Long 2M USD/ZAR vs. short USD/BRL ATM straddle spread, delta-hedged.	24 Apr 26	0.7	05 Jun 26	0.4	-0.3
Sell 2M delta-hedged EUR/USD 25 delta risk reversals.	10 Apr 26	0.4	05 Jun 26	-0.4	0.8
Sell 3M EUR/USD vs. EUR/SEK correlation swap.	20 Mar 26	-1.8	05 Jun 26	-2.8	1.0
Sell skew via long 3M delta-hedged USD/MXN ATM/25 delta 1*1.5 (vega) ratio call spread.	17 Apr 26	7.3	05 Jun 26	5.3	2.0
Buy delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads	19 Jun 26	9.4	07 Aug 26	12.1	2.7

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy delta hedged 2M CAD/JPY atm straddle vs sell USD/CAD straddle, in equal veg	06 Feb 25	3.7	21 Feb 25	4.1	0.3
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	14 Aug 24	36.0	21 Feb 25	10.0	2.0
Sell 2M vs buy 4M AUD/JPY straddle calendar, delta-hedged	23 Jan 25	-0.2	28 Feb 25	-0.3	0.1
Buy 3M CAD/JPY ATM straddles vs sell 3M CHF/JPY ATM straddles, in equal	28 Feb 25	2.0	21 Mar 25	3.2	1.2
Buy 6M 25D USD/CHF risk-reversals, delta-hedged	28 Feb 25	0.6	04 Apr 25	3.1	2.5
Buy 4M EUR/USD vs sell EUR/PLN atm delta-hedged straddles	07 Mar 25	2.0	04 Apr 25	2.7	0.7
Buy 3M ATMF EUR,CHF via USD Correlation Swap	20 Feb 25	73.0	04 Apr 25	73.4	0.0
Sell 3M ATMF EUR,USD via GBP Correlation Swap	29 Jan 25	43.0	04 Apr 25	13.3	2.2
Buy 1Y AUD/USD straddle and buy 1Y USD/CNH straddles vs Sell 1Y USD/SGD straddles in 50:50:175 vega ratios, delta-hedging	04 Apr 25	-1.4	25 Apr 25	-2.2	-0.8
Sell USD/TWD 6M 25D risk-reversals, delta-hedged	04 Apr 25	0.2	02 May 25	5.4	5.2
Sell 2M vs.buy 6M USD/TWD calendar spreads.Delta hedged.	25 Apr 25	0.4	02 May 25	-2.1	-2.5
Sell 3M EUR,USD corr via SGD	20 Mar 25	-17.0	25 Apr 25	-32.6	0.9
Sell 6M 25D EUR calls/BRL puts,delta-hedged	24 Apr 25	16.2	16 May 25	14.8	1.4
Sold 3M 25d EUR/HUF Strangles. Keep delta hedged.	01 May 25	7.1	30 May 25	5.8	1.3
USD/CAD 6M6M FVA	22 Jan 25	6.3	25 Jul 25	5.5	-0.8
3M Delta-hedged USD/JPY atm/25d 1*1.5 ratio put spread	27 Jun 25	-6.2	01 Aug 25	-5.5	0.7
Buy 2M USD/SEK ATM vol vs sell EUR/SEK ATM vol	13 Jun 25	4.2	01 Aug 25	2.7	-1.5
Initiate a -2M/+6M ATM vol calendar in USD/KRW	30 May 25	0.2	01 Aug 25	0.2	0.0
Open long AUD/USD 2M2M FVAs	01 Aug 25	9.5	03 Oct 25	8.3	-1.2
Buy USD/MXN 1y6m vs 6m6m 2*1 vega notional	22 Aug 25	12.5	14 Nov 25	12.9	0.4
Buy 3M GBP/SEK 25D Risk Reversal	05 Sep 25	0.4	14 Nov 25	-0.3	-0.7
Buy 1Y USD/SEK vs.short 1Y EUR/USD straddle, equal vega, delta-hedged	23 Apr 25	3.4	14 Nov 25	2.9	-0.5
Sell 3M EUR/CNH - USD/CNH corr swap, Buy USD/CNH 1Y3M FVA	05 Sep 25	-5.2	05 Dec 25	-5.5	0.2
Sell 3M USD/MXN vs. EUR/MXN correlation swap	19 Sep 25	2.8	19 Dec 25	2.5	0.3

Vol plus directional r.v.

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy 2M USD/SEK 35 delta call vs. sell USD/CHF 43 delta call in a zero-cost format.	16 Jan 26	0	30 Jan 26	5	5	bps
Buy a 3M CNH/INR ERKO put 12.7 strike with a down and out barrier at 12.3	24 Nov 25	46	30 Jan 26	0	-46	bps
Buy 2M USD/SEK (k = 8.94, 1% OTMS) call vs. sell USD/CHF (k = 0.769, ATMS) call in a zero-cost format.	30 Jan 26	-2	06 Feb 26	41	48	bps
Buy zero-cost 2M USD/JPY ATMS / 3% OTMS vs. CHF/JPY ATMS/3% OTMS put spreads	06 Feb 26	0	08 Apr 26	-91	-91	bps.
Buy 2M 30D USD call/SEK put vs. Sell 2M 30D USD call/CHF put, live in 100:135 notionals for zero cost.	27 Feb 26	0	29 Apr 26	-112	-112	bps.

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy 1Y 1% OTMS EUR puts / USD calls vs. Sell 4.5% OTMS EUR puts/TWD calls	26 Nov 24	0	17 Jan 25	112	112	bp
2M USD/CAD 147/150/151 Call Fly 1*2*1	20 Dec 24	23	21 Feb 25	0	-23	bp
4M 1% OTMS strike USD calls vs. [CNH, KRW, TWD] vs. sell 4M 2% OTMS strike USD/JPY calls	26 Nov 24	0	21 Feb 25	71	71	bp
4M ATMS Basket of AUD/USD call and USD/SGD puts vs.sell a basket of USD/CNH puts and USD/TWD puts	24 Jan 25	0	21 Feb 25	79	79	bp
Weighted basket of 3m USD/SEK 40d put and USD/HUF 40d put vs sell EUR/USD 45d call in 100-125 and 100-145 notionals respectively	21 Feb 25	0	28 Mar 25	48	48	bps
Sell GBP-CHF corr via EUR	25 Apr 25	13	27 Jun 25	0	13	corr pts
2M CNH/INR ERKO put ATMF strike with a down and out barrier	27 Jun 25	51	29 Aug 25	0	-51	bps
Buy 3m OTMS USD put/HUF call vs. sell 3M OTMS USD put/PLN call	27 Jun 25	0	05 Sep 25	92	92	bps
Buy 3M 2% OTMS AUD calls/JPY puts vs. Sell 3M 2% OTMS USD calls/JPY puts	19 Sep 25	0	24 Oct 25	-46	-46	bps

Digital r.v.

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Sell 3M 4.33 strike EUR call /PLN put one-touches	24 Nov 25	30	23 Jan 26	4	26
Buy a 3M [EURCHF > 100.5% AMTS & SX5E > 105% ATMS] dual	24 Nov 25	15	20 Feb 26	0	-15
Buy USD/KRW 10-wk 1400 - 1480 DNT	27 Feb 26	21	03 Mar 26	0	-21
Sell 1M vs. buy 2M 180 strike EUR put/JPY call one-touch calendar spread	27 Feb 26	17	27 Mar 26	33	16
Sell 4M 8.35 strike EUR call/CNH put one-touch	27 Feb 26	28	08 Apr 26	9	19
Sell 4M EUR/ZAR 19.90 call one-touch.	27 Feb 26	40	05 Jun 26	11	28

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy Dual Digi 3M USD/JPY call 2% ITMS and JPY/KRW call 2%	26 Nov 24	14	17 Jan 25	44	30
Open EUR/ZAR 3M 20 - 21.5 DNT	01 Aug 25	17	03 Oct 25	48	31
Sell 4M EUR/BRL 6.80 one-touch call	22 Aug 25	44	24 Oct 25	17	27
Sell 6M 410 strike EUR call /HUF put one touch	19 Sep 25	38	19 Dec 25	18	20

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Emerging Markets FX

- **EM FX:** OW overall but in reduced size since 24 July given the risk balance between global financing conditions, US/Iran conflict and moderately negative August FX seasonality. We express this via OW LatAm, MW EMEA EM and UW Asia.
- **EMEA EM FX:** MW overall. We prefer higher carry/bullish structural stories (OW HUF, long HUF in RV and options) and procyclical growth FX (OW CZK). We hold 17-Aug-26 EUR/ILS 1x1 put spreads; our short 03-Aug-26 USD/TRY fwd expired ITM (total return: +2.38%).
- **LatAm:** Stay OW overall via OWs in MXN, COP and PYG. We moved MW CLP (from OW) and we are also MW in BRL and PEN.
- **EM Asia:** Remain UW Asia FX (via UW THB FX) but in smaller size as risks of a squeeze are rising. We stay short SGDTWD, long INR vs PHP and IDR, but have added 2m $INR calls to hedge given poorer INR seasonals.

EM FX: OW in reduced size into seasonally weak August

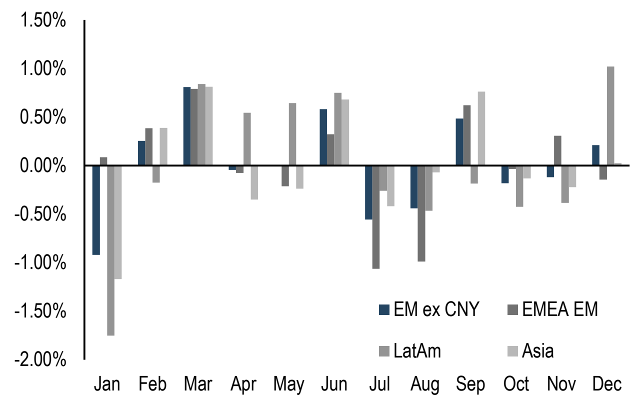
We remain OW EM FX overall, but in reduced size since 24 July, given global risks from the US/Iran conflict (see *EM Strategy Update: Renewed Iran tensions*). Regionally, we continue to hold OW LatAm, MW EMEA EM and UW EM Asia, having reduced our overall OW EM FX exposure on 24 July. We maintain a pro-carry and overall positive bias for constructive idiosyncratic stories, but risks to EM FX remain with tanker transits through the Strait of Hormuz still subdued and short-term real rates in the US still elevated - despite the fall in oil prices over the past 2 weeks (the downside NFP print has softened risks from this factor, though). Our core overweights remain in COP, MXN, HUF and CZK, hedged with UW THB and RSD.

August EM FX seasonality tends to be negative, which also warrants some caution (see here). In spot terms, EM FX has fallen in 12 out of the past 16 years since 2010 (75% hit ratio). This is much less dramatic when looking at total returns, which are only negative 50% of the time. Nevertheless, even in total return terms, August is a month of underperformance versus trend gains. While oil prices and potential BoP effects were the primary consideration behind our risk reduction on 24 July, we noted that seasonality was a risk for our OWs in ZAR (closed), COP, MXN, as well as long INR outright trade.

Seasonal August FX weakness appears to have some justification in weak trade balance seasonality across regions (Figure 1). On average, EM countries suffer negative trade balance seasonality in August. In terms of specific countries, this is most pronounced in CZK, CLP, HUF, ILS and MXN. We also note that Q3 is the seasonally most penalizing quarter for primary income outflows. TWD, THB in Asia as well as CZK, ZAR and PLN in EMEA are the most at risk (Figure 2). This category in the BoP usually captures net dividend payments which tend to be very seasonal.

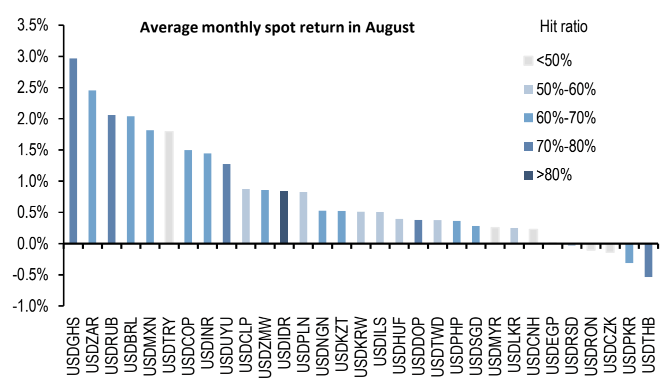
Figure 1: Trade balance appears to be weak in many countries over August

Average of individual countries trade balance seasonality scaled to GDP



Source: J.P. Morgan, Haver Analytics

Figure 2: IDR stands out with the highest hit ratio, while THB tends to strengthen vs. USD



Source: J.P. Morgan, Bloomberg Finance L.P.

EMEA EM FX: remain MW, high carry bias

We maintain our MW stance, preferring higher carry currencies. The balance of global and local risks justifies a balanced approach to EMEA EM FX, in our view, and we remain MW. Oil exports through the Strait of Hormuz remain low compared to pre-conflict levels despite lower oil prices, US real rates remain high (though off the highs post NFP), and uncertainty around the Fed's reaction function adds risk to long-end core rates. That said, a still broadly pro-cyclical environment and supportive terms-of-trade moves give room for higher carry/pro-growth currency expressions, which we

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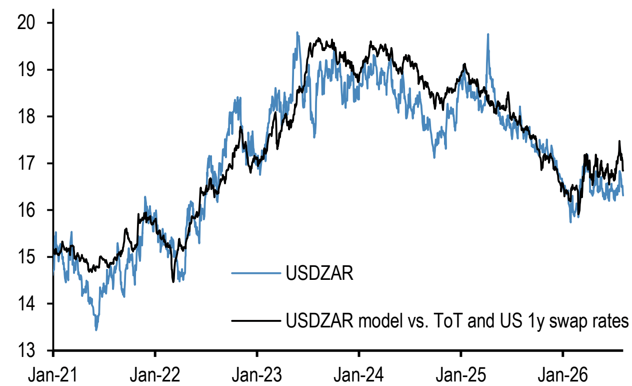
hold via OWs in HUF and CZK, hedged with UW RSD. ZAR would typically tick these boxes too, but we are MW ZAR since 23 July after the SARB hold. In outright trades, we remain long HUF vs RV basket (50% PLN, 50% CZK) to reflect relative conviction, as well as bullish HUF via seagull options structures. We also hold 17-Aug-26 EUR/ILS 1x1 put spreads. Our short 03-Aug-26 USD/TRY fwd expired this week (entry: 48.66, exit: 47.5280, total return: +2.38%); our bias is to re-enter similar structures.

Remain MW ZAR; the currency has outperformed this week on favourable terms-of-trade moves, but the lack of SARB hikes and ST overvaluation keeps us cautious for now. We moved MW ZAR after the SARB's decision on 23 July, where the central bank kept rates on hold despite more than 25bp of tightening priced pre-meeting, above-target core inflation and the Q2 BER inflation expectations moving higher. We had relied on SARB's hawkish reaction function to justify USDZAR trading meaningfully below fair value; without that anchor, ZAR is vulnerable to external risk gyrations that linger from the Middle East conflict and commodity price volatility. Near-term, a softer NFP print driving USD weakness and favourable ToT shifts have helped ZAR, but valuations remain rich, with our FV estimate for USDZAR at 16.80 (3.4% above spot) - Figure 3.

Hold moderate bullish ILS stance under renewed cautious equity optimism and continued strong M&A dealflow/ startup funding (see here). ILS outperformed this week in line with lower US nominal rates, lower oil prices and a global technology equities recovery. Visa's announced acquisition of Israeli fraud prevention company BioCatch for USD 2.4bn in cash (expected to close by March 2027) and BoI release showing no FX reserves purchase July (combined 1.8bn of USD buying in May/June), further lifted sentiment. Growth, productivity, FDI inflows (Figure 4) and export resilience from an economy gearing to tech/AI continue to underpin our moderate bull thesis for ILS, amid a compressed rate differential and a potential turning of the investment onshoring trend that has seen a fall in FX asset share of local investors in 2024. The size of FX intervention has been moderate this year; however, the signal from the BoI is incrementally hawkish at the margin and positive for the shekel.

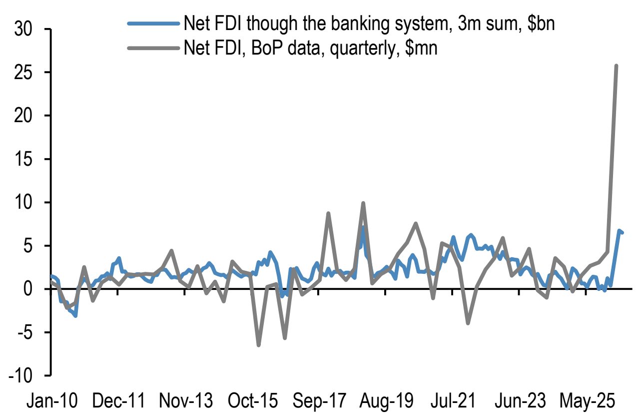
We stay bullish HUF on a structural basis and on CZK given our procyclical outlook, though dovish central bank tilts and some softening in activity data are near-term headwinds. Softer-than-expected Q2 GDP growth data across CE3 (see here) and dovish tilts to central banks, including CNB this week (see here), have led to CE3 FX underperformance. That said, a still procyclical outlook underpinned by broad-based strong credit growth and rising capex that should be further boosted by EU fund disbursement bodes well for medium-term FX performance (see here). In Hungary, the more material cooling in July CPI inflation than expected (1.2% vs 1.6% cons) and expectations for MNB policy loosening could slow HUF appreciation pressure. But after the backup in EURHUF towards April pre-election levels (spurred most recently by energy concerns amid a potential shutdown of the Paks nuclear power plant), we see little reason to exit positions. In Czechia, the CNB were incrementally dovish at their meeting this week, but the central bank is still relatively hawkish versus peers and is priced for hikes. Moreover, domestic activity sentiment remains on an upward trend; we remain OW CZK.

Figure 3: ZAR remains overvalued despite improvement with terms of trade and stronger FV



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 4: BoI's monthly data on net FDI through the banking system shows a notable pick-up



Source: J.P. Morgan, Haver Analytics

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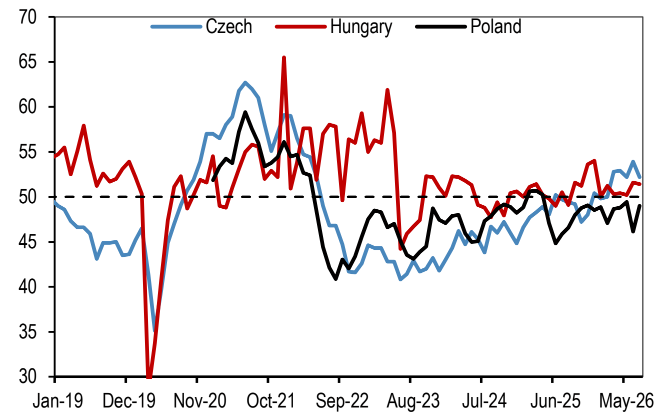
Figure 5: Czech activity sentiment remains on upward trend

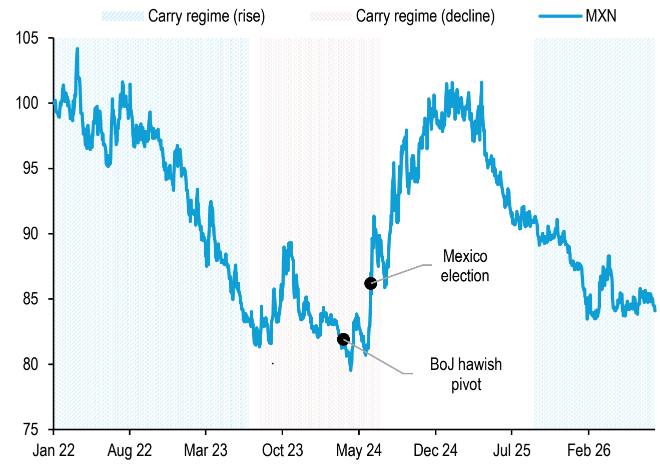
Manufacturing PMIs, seasonally adjusted



Source: J.P. Morgan, Haver Analytics

Figure 7: The BoJ's hawkish pivot triggered the end of the 2022-24 carry regime

USDMXN index (Jan-22 = 100)



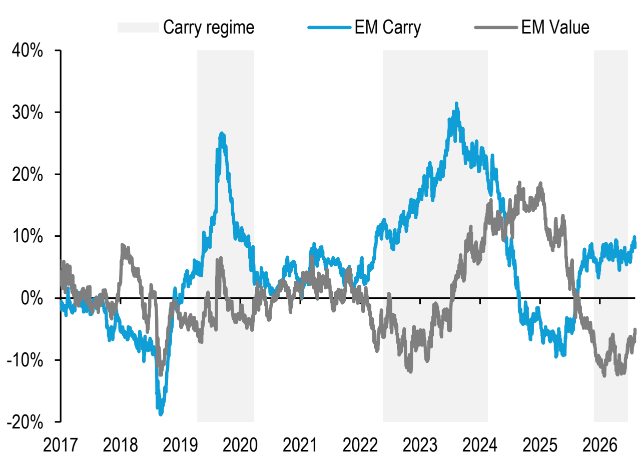
Source: J.P. Morgan, Bloomberg Finance L.P

LatAm FX: Carry remains key for LatAm's resilience

Active JPY intervention and the prospect of a hawkish BoJ pivot revive unpleasant memories, but MXN is less exposed to a carry unwind today than it was in 2024. In 2022-2024, MXN participated in a long carry cycle that triggered gains of 21% over a period of roughly 18 months. The end of that regime, which coincided with global changes including the hawkish pivot of the Bank of Japan in the first half of 2024, proved severe for Latam carry currencies. MXN depreciated ~18% vs USD from its strongest levels to the peak of the carry unwind in the third quarter of 2024.

Figure 6: Identifying recent carry regimes

Rolling %oya total return of single-factor strategies (carry adjusted by volatility and PPI-based REER value); shaded areas indicate periods when carry outperforms value by a margin of more than 5pp over 3-month windows



Source: J.P. Morgan

Our metrics suggest a new carry regime began in September 2025, with key differences that leave MXN less vulnerable to a global carry unwind scenario, particularly in terms of positioning. MXN has appreciated around 7% since September of last year, but there are some interesting differences in the conditions under which the Mexican currency has performed this time around relative to the 2024 (Table 1 shows some of the key metrics we have compared between cycles). Among the main differences, we find that positioning is much cleaner than in 2024, with our *EM Client Survey* even showing a modest net short stance (Figure 8). Daily data on FX futures contracts traded on the Tokyo Financial Exchange provide guidance on the broad interest in the yen-funded MXN trade among local investors in Japan, and it has been in the past a good gauge of how popular the trade is abroad. The data show that long MXN vs. JPY positions are nowhere near as crowded as they were in 2024 (Figure 9).

Table 1: Comparing carry cycle

	2022-2024 carry cyle (at time of peak FX strength)	Current
Monetary policy rate (%)	11.00	6.50
Real ex-ante rates (%)	7.04	2.24
Spread to Fed Funds rate (%pp)	5.50	2.75
Position (IMM) (3Y rolling percentile)	100%	59%
Position (EM Client Survey) (Full-sample percentile)	35%	0%
Position (TFE) (3Y rolling percentile)	99%	41%
Broad dollar move (from start of carry cycle through peak)	10.7% (Dec-21 to Jun-24)	2.1% (Sep-25 to Aug-26)

Source: J.P. Morgan, Bloomberg Finance L.P.

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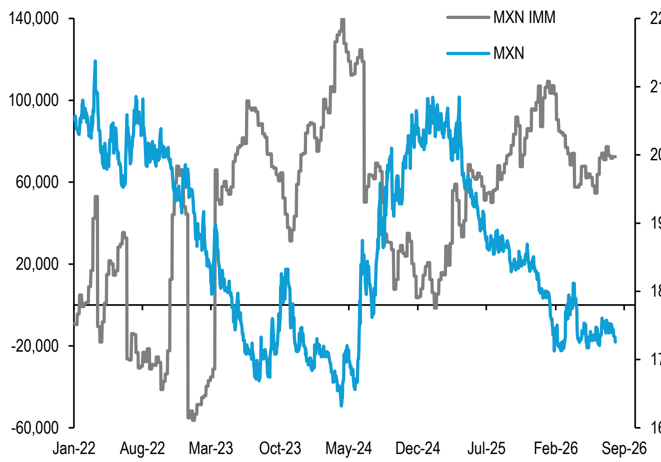
Figure 8: MXN and positioning

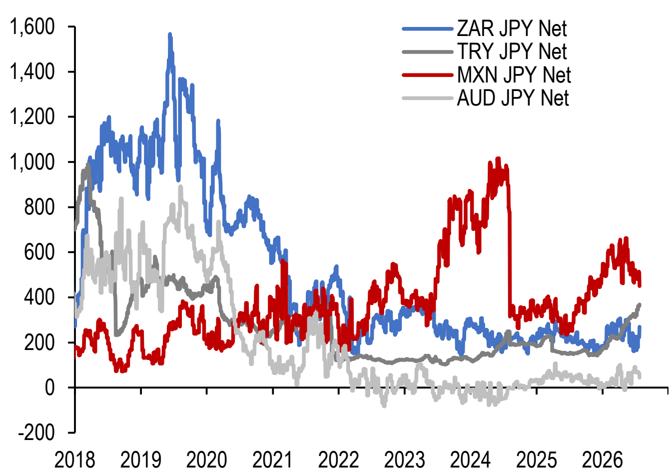
Left axis: CFTC CME MXN net non-commercial futures position (number of contracts); Right axis: USDMXN



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 9: Data from the Tokyo exchange also points to a much cleaner position vs JPY relative to 2024

Net open interest on FX daily futures contracts in the Tokyo Financial Exchange; net is long minus short contracts, scaled by contract unit size and converted to USDmn at market exchange rates.

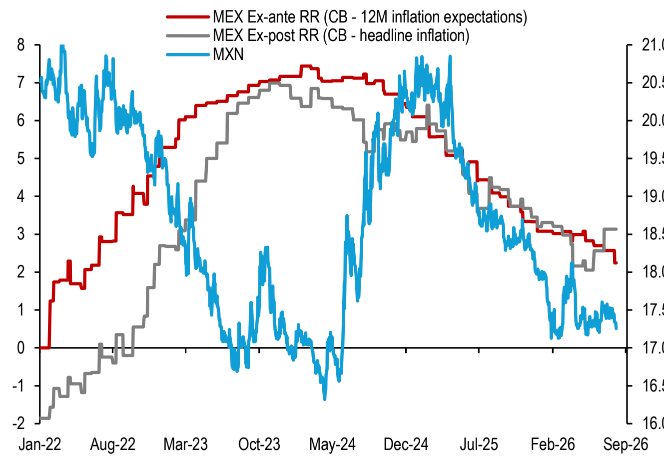


Source: J.P. Morgan, Bloomberg Finance L.P., Tokyo Financial Exchange

MXN has appreciated despite lower rates, pointing to more structural sources of support and helped by a more stable political backdrop. The appreciation of MXN over the past year has been accompanied by a compression of the rate differential with the Fed in both real and nominal rates (Figure 10, Figure 11) which is evidence, in our view, that the currency dynamics may be the product of elements beyond yield, potentially including a compression of risk premia as trade tensions ease and improving external accounts, which provide a more robust support than carry alone. Also, unlike 2024, when the political cycle magnified the effects of a carry unwind for MXN, this time around the political calendar in Mexico is quite steady, limiting the sources of idiosyncratic risk relative to other high-yielders, particularly if the green shoots of growth turn into a more consistent economic recovery in 2H26 (J.P. Morgan economists have revised growth for 2026 to 1.4% oya, from 1% originally). See [Beyond Carry: External Accounts as an Anchor for MXN](#) for all the details on the external dynamics.

Figure 10: MXN and Mexico real rates

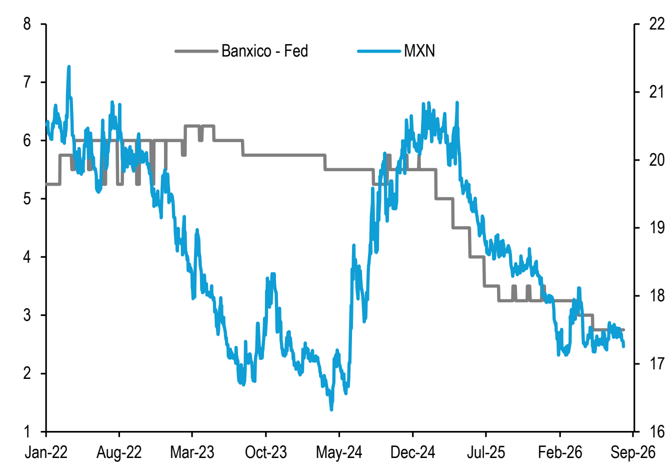
Left axis: Real Banxico policy rates (ex-ante and ex-post, %); Right axis: USDMXN



Source: J.P. Morgan, Bloomberg Finance, L.P.

Figure 11: MXN and Fed differential

Left axis: spread between Banxico policy rate and Fed funds rate (pp); Right axis: USDMXN



Source: J.P. Morgan, Bloomberg Finance L.P.

For BRL, the outlook appears less constructive. Unlike MXN, BRL positioning remains meaningfully long and above the 90th percentile in both IMM data and the J.P. Morgan *EM Client Survey*. One mitigating factor is that BRL longs do not appear to be concentrated in JPY-funded shorts, as we

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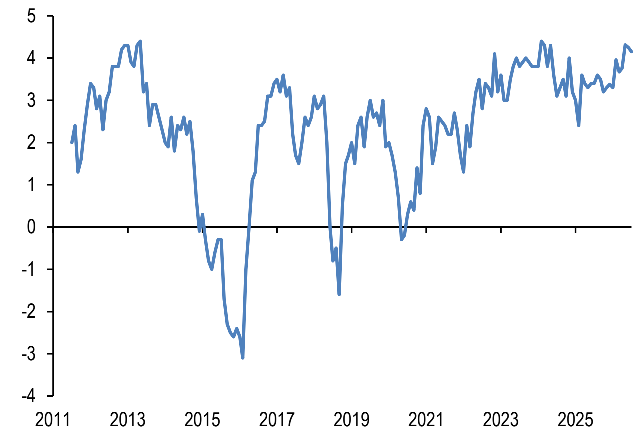
observed in 2024; instead, funding seems more diversified across other currencies such as USD and EUR. Nevertheless, the very extended long positioning leaves BRL vulnerable to abrupt reversals should external conditions become less supportive of carry trades, whether due to developments at the Bank of Japan, shifts in Federal Reserve policy, or broader bouts of risk aversion. When Brazil's presidential election is added to the equation, the overall risk-reward profile for the currency appears correspondingly more fragile.

Figure 12: BRL positioning remains meaningfully long

BRL positioning score from the *EM Client Survey*; positive indicates long BRL position



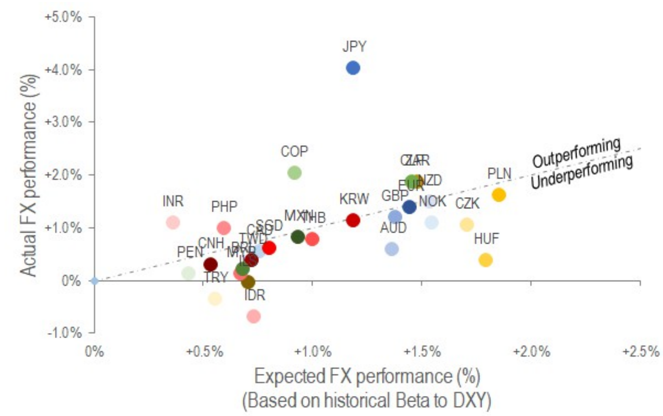
Source: J.P. Morgan

Asia FX: A squeezy summer

Asia FX rallied with Yentervention, risking a further squeeze. Asia FX traded stronger on the week, led by a squeeze in the JPY as mixed messaging from the Fed and joint intervention from BOJ-UST squeezed significant USD length out of the market. CFTC CoT data suggests significant short JPY positioning had built up, mirroring July 2024. The echoes of yentervention and a softening in US data cast an eerily similar shadow over the current market, with carry resurgning as a popular thematic in recent months. Asia FX rallied in line with its historical betas, suggesting no major squeeze as yet, but continued strength could squeeze out still significant funding positions from the low yielding region. Amongst HYers, which are less at risk in this dynamic, the INR was a notable outperformer as data on FCNR inflows continued to be strong, contrasting with IDR which began to see some pressure from Aug dividend hedging. We have reduced our UW in Asia FX (via UW THB FX) by 1.0% to 0.5%, recognizing that fundamentals are different from 2024, but the technical set up risks a similar squeeze this summer.

Figure 13: 1w FX performance vs USD - Actual vs expected

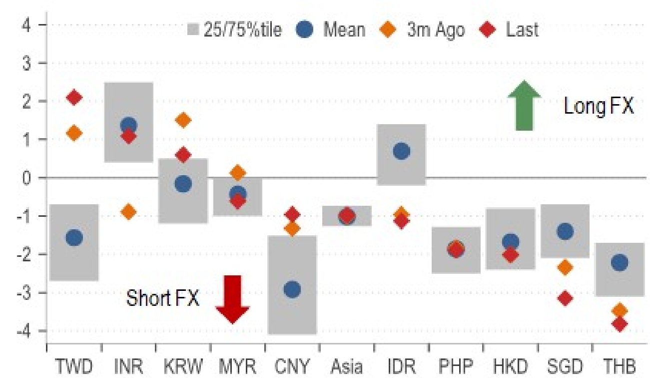
Based on 35w rolling betas to DXY



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 14: JPM Client survey by currency

Current vs historical mean and inter-quartile range



Source: J.P. Morgan.

Figure 15: CFTC Commitment of traders report - Non-commercial JPY positioning

Source: CFTC,, J.P. Morgan.

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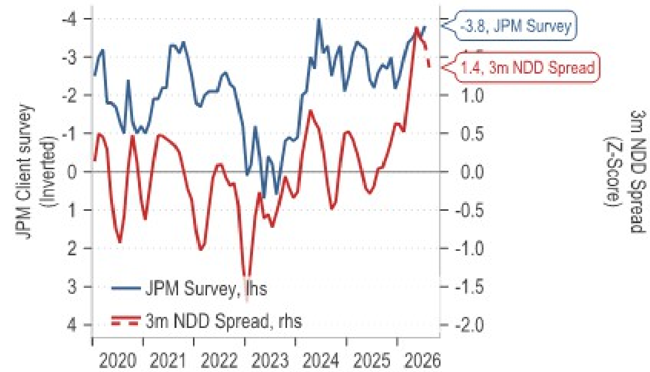
Figure 16: THB Tri-weekly Seasonality

Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 17: TH weekly tourist arrivals

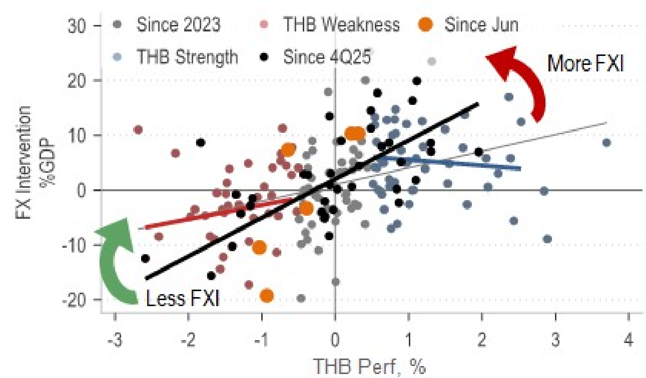
Source: MOTS

Figure 18: TH FX Positioning metrics



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 19: BOT FX intervention estimate vs THB performance



Source: BOT, J.P. Morgan estimates.

THB most at risk of a squeeze. The baht continues to stand out as a popular funder, with our JPM client survey suggesting it remains the heaviest underweight in Asia. FX points remain elevated as well, suggesting significant positioning that has now begun to unwind. Seasonals in summer have historically been mildly positive for the baht, owing to an uptick from higher spending European arrivals, with weekly arrivals data suggesting a recent recovery from the supply induced shock in recent weeks. While these factors are insufficient to swing fundamentals for the baht, heavy positioning and seasonal softness in US data risks a sharp reversal in the near term. The Bank of Thailand’s reaction will be key to watch, having turned very hawkish on FX weakness due to the rising risk of imported energy price inflation. While the sales of USDs reducing FX reserves suggests the potential for greater purchases if the USD turns, a return of the historical asymmetry in their reaction function remains a key risk for the short THB trade.

Buffers and guardrails in focus for Indonesia. Indonesia's FX reserves declined marginally in Jul, with a -$0.8bn drain net of valuation effects on our estimates. The narrow drop reflects a general stabilization of the flow picture for the rupiah, continuing from Jun after FX outflows peaked in Feb. SRBI inflows have slowed in Jul, but risk premia has expanded sufficiently to balance flows for now, aided by an easing of dividend outflow pressures from the JCI dividend season. These outflows hand off to the FDI dividends, however, which get paid Sep-Oct but get hedged as early as Aug, given they are more corporate led. This seasonality has often been a major drag for the rupiah, leaving it vulnerable, with net FX reserves continuing to look low. The nomination of candidates for the BI governor role will also be in focus in the coming weeks, with parliament set to vote once the next session starts mid-August. Markets are looking for assurance that central bank independence will remain as a key guardrail against macroeconomic policy pressures, and an internal candidate would do much to assuage concerns for now. That said, seasonal pressures remain and buffers are low, and constraints around further rate hikes or liquidity tightening - perceived or

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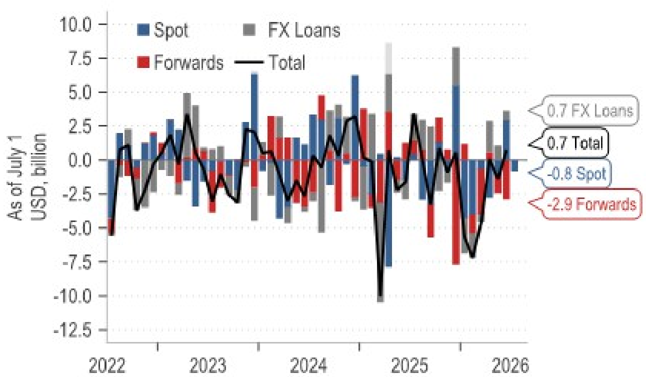
otherwise - are likely to be IDR negative going forward. We remain long INR vs PHP and IDR.

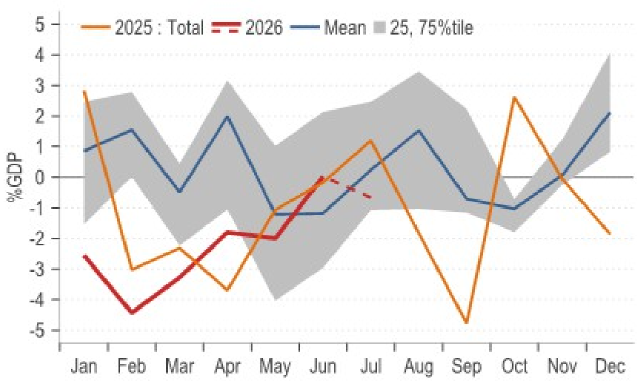
Figure 20: BI FX Intervention estimate



Source: BI, J.P. Morgan

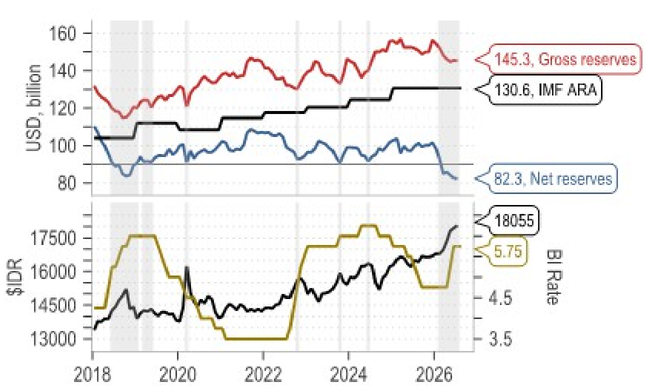
Figure 21: ID net FX reserves change by month

vs historical mean and interquartile range



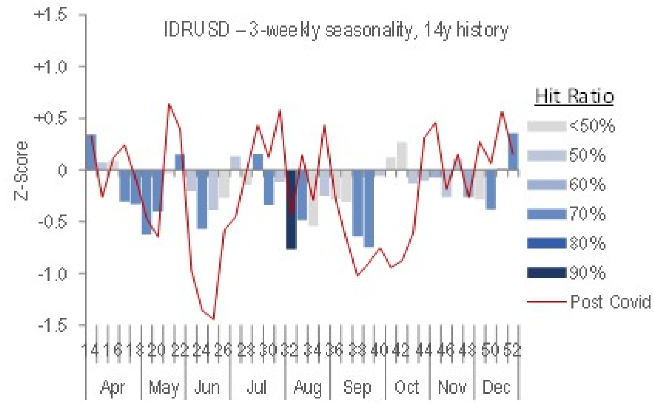
Source: BI, J.P. Morgan estimates.

Figure 22: BI FX reserves vs IMF ARA



Source: BI, IMF, J.P. Morgan

Figure 23: IDR Tri-weekly seasonality



Source: Bloomberg Finance L.P., J.P. Morgan.

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Emerging Markets FX

Figure 24: GBI-EM Model Portfolio

	Bond View	FX View
GBI-EM	MW	OW
EM Asia	UW	UW
EMEA EM	OW	MW
Latin America	MW	OW
China	MW	MW
India	MW	MW
Indonesia	MW	MW
Malaysia	MW	MW
Thailand	UW	UW
Czech Republic	MW	OW
Hungary	OW	OW
Poland	MW	MW
Romania	MW	MW
Turkey	MW	MW
Serbia	MW	UW
South Africa	MW	MW
Brazil	MW	MW
Chile	UW	MW
Colombia	OW	OW
Dominican Republic	MW	MW
Mexico	OW	OW
Peru	UW	MW
Uruguay	MW	MW
Paraguay	OW	OW

Source: J.P. Morgan

Figure 25: Outright trades

EM Asia	Entry	Target	Stop	Entry
24-Sep-26 USD/INR call (98), spot ref: 96.83, fwd ref: 97.46	0.71%	-	-	24-Jul-26
Short 10-Dec-26 SGD/TWD	25.03	23.77	24.51	08-Jun-26
Long INR vs. 50/50 basket of PHP and IDR	100.00	104.00	98.00	08-Jun-26
EMEA EM	**Entry**	**Target**	**Stop**	**Entry**
Long HUF vs. 50% CZK and 50% PLN basket	100.00	105.00	97.50	08-Jun-26
09-Nov-26 EUR/HUF seagull - buy put (335), fwd ref: 362.50; sell 1x1 call spread (375, 395), fwd ref: 360.75	-0.37%	-	-	08-Jun-26
17-Aug-26 EUR/ILS 1x1 put spread (3.35/3.22), spot ref: 3.4040	0.85%	-	-	15-May-26
LATAM	**Entry**	**Target**	**Stop**	**Entry**
Short CAD/MXN	12.57	-	12.95	17-Apr-26

Source: J.P. Morgan

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FX Derivatives

The Yen-Dgame

- **FX vols are rebounding from multi-year lows as US rates uncertainty rises, but spot remains broadly range-bound and macro risks such as CPI continue to trade benignly. Inflation surprises or oil shocks remain the clearest threats to the pro-carry environment.**
- **JPY intervention sharply repriced skew and barrier risk, leaving intervention premia richly valued across parts of the vol surface. Harvest expensive skew via a 3M dh USD/JPY ATM/25D 1x1.5 ratio put spread; Buy cheap topside barriers via a 6wk 40D put with a 160 KI.**
- **Selective skew harvesting remains one of the more attractive carry opportunities in FX as skew continues to underperform. Rotate to dh 3M USD/MXN and EUR/PLN ATM/25D 1×2 vega-notional ratio call spreads.**

At Odds, Vols Begin To Creep Higher While Event Risk Is Benignly Priced

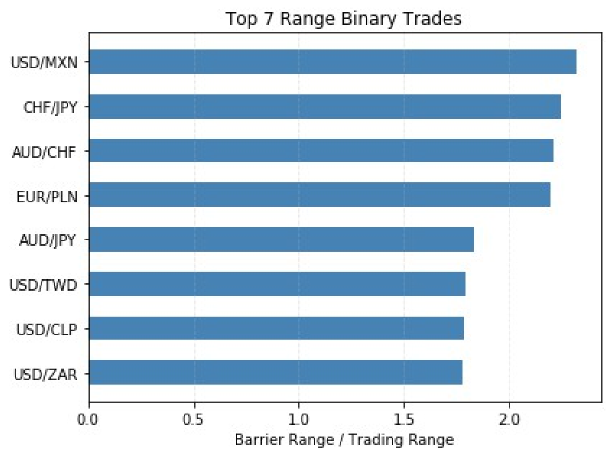
FX volatility has begun to rebound from recent lows, driven primarily by the JPY intervention and a modest reassessment of US rate uncertainty following Warsh's remarks. While markets initially read Warsh's emphasis on "price stability" as hawkish, subsequent dovish headlines including his downplaying of an effect on a rate hike as well as the JOBS data leave markets in a policy limbo, contributing to a modest recovery in vol pricing.

Figure 1: Volatility has begun to edge higher from multi-year lows.

Source: J.P. Morgan.

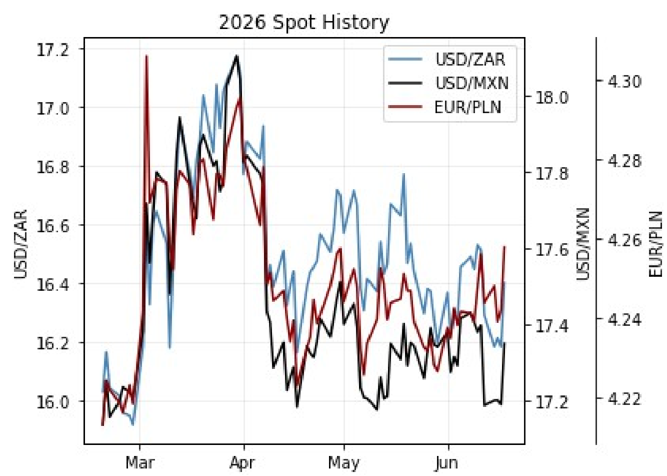
However, the recent move higher in volatility remains modest in the context of the broader decline observed over the last half year. Implied volatility continues to sit near the lower end of its historical range, while rates markets still only price the first Fed hike of the cycle in December. Together, these suggest investors do not yet view the recent increase as the beginning of a new volatility regime. Instead, **markets continue to ride on subdued realized volatility, persistent carry demand, and broadly range-bound spot** trading (**Figure 2** and **Figure 3**).

Figure 2: Range-bound expressions remain attractive.



Source: J.P. Morgan.

Figure 3: Spot markets continue to trade within relatively constrained ranges.



Source: J.P. Morgan.

With realized volatility remaining subdued and spot ranges broadly intact, the next obvious test of the prevailing regime is next week's US CPI release. Inflation remains one of the most direct channels through which Fed expectations could be repriced and therefore one of the clearest candidates to generate a more sustained move in both rates and FX markets. However, event risk pricing suggests investors remain skeptical that CPI will produce such an outcome (**Figure 4**),

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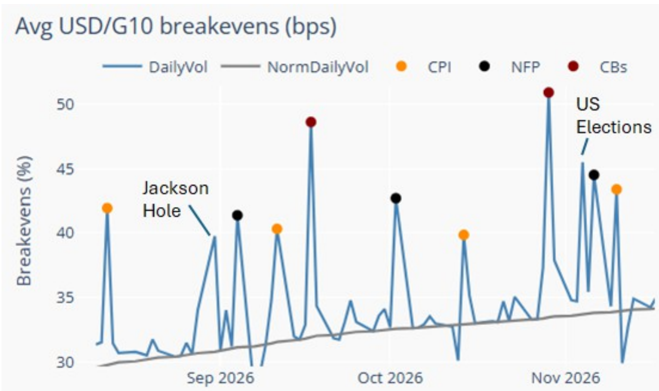
in part since there is a second NFP and CPI print, each, before the next Fed.

Figure 4: CPI event pricing remains relatively benign.

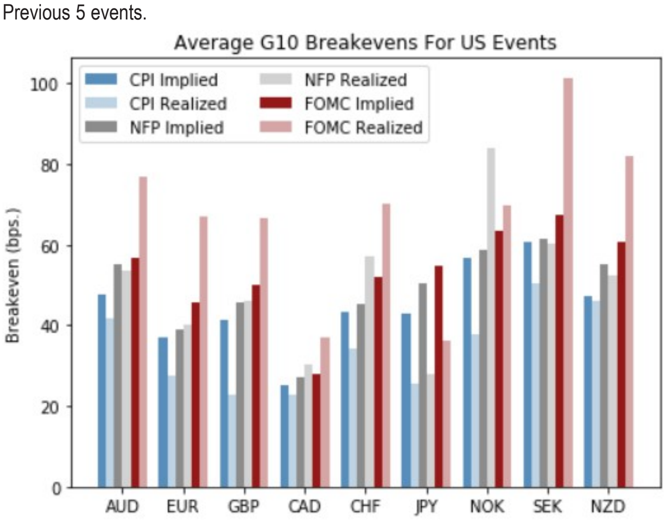


Source: J.P. Morgan.

Current CPI event-risk breakevens remain below the levels historically associated with major inflation surprises. Moreover, lately CPI has remained among the least-expensively priced major US macro events in recent months (**Figure 5**). While US midterm elections trade at a modest premium to CPI and NFPs, election pricing also remains broadly consistent with expectations for a historically familiar outcome of congressional gridlock.

Figure 5: CPI has tended to be the least priced USD event for the last few meetings.

Previous 5 events.



Source: J.P. Morgan.

The implication is that carry- and range-oriented structures remain supported, provided upcoming macro releases continue to validate the existing environment of contained realized volatility and limited directional conviction.

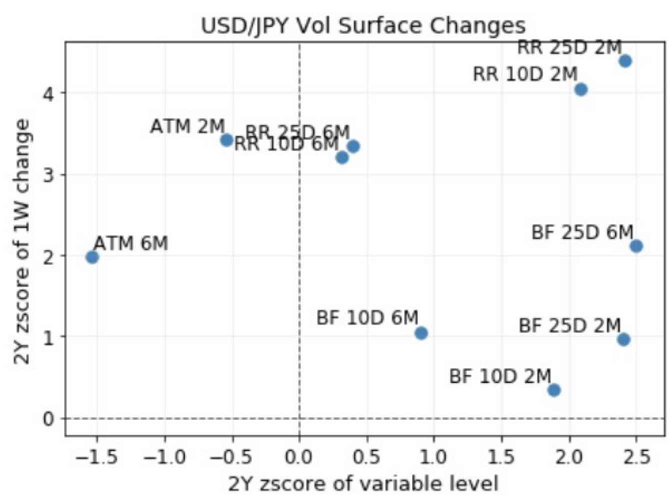
That said, the threshold for challenging the current regime is not especially high. A renewed inflation impulse that forces markets to bring forward Fed hiking expectations, or the Iran developments resulting in renewed disruptions to trade and pushing oil above $100/bbl could push realized vols higher.

What The Yen Just Happened?

Last week's coordinated FX intervention delivered a sharp reset to USD/JPY positioning, pushing spot almost 7 yen lower from near 164 to the mid-150s. The move generated substantial repricing across the vol surface. Front-end implieds moved sharply higher and became inverted on the back of a spike in realized vol, while front-end JPY skew widened aggressively, exceeding the April intervention episode by a wide margin, albeit remaining below the extremes observed during the summer 2024 turmoil and the 2025 Liberation Day selloff (**Figure 6**). At its peak, the ratio of front-end JPY calls to ATM volatility reached its richest level since the COVID period. While spot has since entered a consolidation phase around 157-158, skew is starting to pare back as well, but remains elevated by historical standards.

Figure 6: Repricings of riskies since the start of the interventions last week (a 4 sigma move) stands out.

Here RR is defined as USD put - USD call (i.e. in the JPY skew direction).



Source: J.P. Morgan.

In the previous FX Derivs Weekly, we highlighted both long USD/JPY skew and selective topside USD/JPY exposure. In our view, the focus should now shift away from owning expensive skew and toward harvesting intervention premia that remain embedded across parts of the vol surface. Our FX strategists continue to forecast USD/JPY at 164 by year-end. They see a low probability that coordinated intervention pushes USD/JPY materially below 150, while arguing that a more supportive stance by U.S. authorities should reduce the likelihood of USD/JPY materially overshooting 164. Taken

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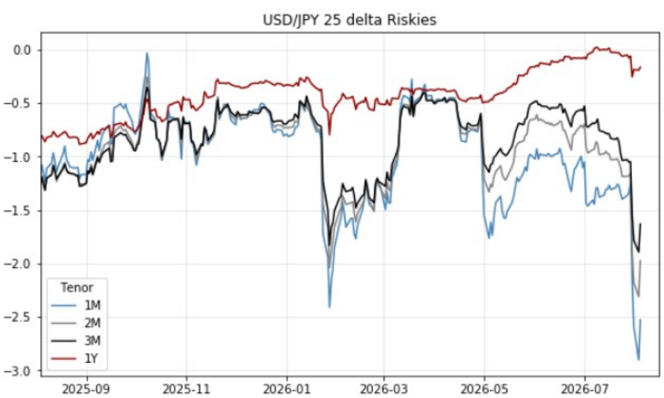
together, the outlook resembles a regime in which both tails are being constrained simultaneously. The expected trading range remains wide, but the repricing of intervention risk has been substantial.

At current valuations, long-skew positions appear to be entering the final stages of their payoff profile. While additional gains are still possible, the asymmetry is becoming less attractive as skew is at levels previously associated with subsequent normalization rather than further expansion. Front-end risk reversals have already begun to retrace from their extremes despite spot-vol correlation remaining negative (**Figure 7**). While spot-vol correlation continues to support JPY skew, past intervention episodes suggest that around current skew-pricing levels, skew harvesting tends to outperform outright skew ownership.

Historical intervention and skew-widening episodes show that skew underperformance and skew normalization tended to generate robust and relatively steady returns for skew-harvesting structures. By contrast, outright short-vol positions produced less consistent outcomes as persistent spot-vol correlation can offset lower implieds. Nevertheless, absent further intervention, realized volatility could plausibly soften back toward pre-intervention levels, creating a more supportive backdrop for short-vol exposures. Overall, relative valuation suggests skew has become considerably more extended than ATM volatility.

Figure 7: Front-end riskies' pricing is starting to reverse despite spot-vol corr supporting the elevated levels.



Source: J.P. Morgan.

Preferred Relative-Value Trade: Harvesting Rich JPY Skew

Assuming intervention activity remains on pause, current skew valuations make skew harvesting attractive, albeit inherently risky. Our preferred expression is a delta-hedged USD/JPY ATM / 25-delta 1x1.5 ratio put spread. The structure remains modestly long gamma while being short both skew and vega, providing a more balanced exposure than an outright short-vol construct. Historically, such structures have benefited from skew normalization but have a partial hedger built in.

— Buy a 3M delta-hedged USD/JPY ATM / 25-delta 1x1.5 ratio put spread for 8.3 vs. 9.4/9.65 vols.

An alternative expression is through selling 2M 152 USD/JPY downside one-touches (TV of 32% on mids). Downside barrier pricing currently appears elevated in historical terms, with the ratio between one-touch and at-expiry digital pricing close to its richest level since 2022 (**Figure 8**). Selling barrier risk therefore offers another way to monetize elevated intervention fears while naturally limiting losses to the premium received.

— Sell a 2M 152 USD/JPY downside one-touch (TV of 32% on mids) for 28.5/32.5%.

Figure 8: USD/JPY downside barrier risk pricing is the highest since 2022.

Source: J.P. Morgan.

Directional Opportunity: Buying Cheap Topside Barrier Convexity

Another interesting dislocation is on the topside. While USD put riskies remain exceptionally rich, making conventional bullish USD/JPY structures such as call spreads relatively unattractive, the ratio between topside one-touch and digital options has fallen sharply and is now trading near the bottom of its recent historical range (**Figure 9**). This suggests that barrier risk has cheapened materially relative to terminal-risk pricing. Thus, topside ERKOs appear to have a better value than conventional RKOs. Effectively, call RKOs sell rich one-touch pricing, while call ERKOs monetize digitals pricing.

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Figure 9: Topside barrier risk pricing (measured as a ratio to at-expiry digi) dropped to near the range low.

Source: J.P. Morgan.

Another implementation worth considering is via 6wk USD/JPY puts with a topside KI, a structure that is effectively long the barrier. As spot grinds higher toward intervention territory, the vanilla put benefits from riskies pricing via spot-vol correlation alongside an increasing perception of intervention risk, while the embedded barrier simultaneously gains value as the trigger approaches. The knock-in feature substantially reduces the initial premium, allowing investors to acquire the structure at roughly an 80% discount to the corresponding vanilla option.

Importantly, the appeal is primarily in mark-to-market rather than expiry payout. A structure purchased for roughly 15-20bp can plausibly appreciate toward 70-80bp once the barrier is triggered, allowing investors to monetize the position and potentially realize a 3-4x return without requiring a subsequent reversal in spot. In that sense, the trade is less about forecasting a major USD/JPY decline and more about exploiting what appears to be attractive pricing of topside intervention risk.

— Buy a 6wk USD/JPY 40-delta put with a 160 topside KI for 12/16 bps, mids at 13 bps (versus 84 bps for vanilla put).

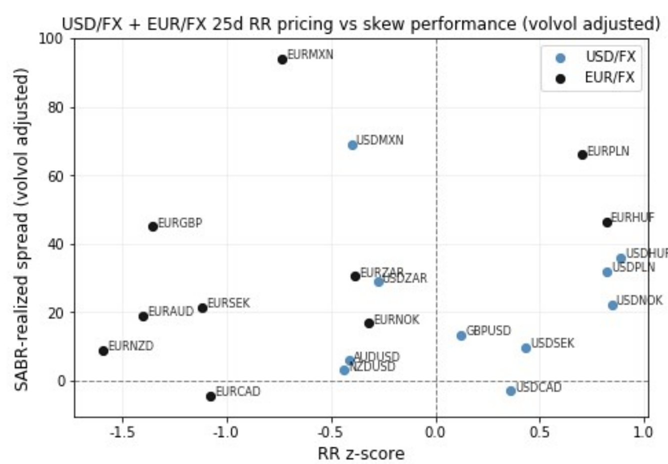
Skew Harvesting: Rotation, Not Exhaustion

Our EUR/MXN skew-harvesting trade has outperformed the expectations. The original thesis was predicated on an unusually rich skew relative to depressed ATM volatility and a broader backdrop that remained supportive of skew carry. While the skew dislocation has narrowed materially since then, the broader opportunity set remains intact. Broad FX implied vol has bounced modestly from the lows, but outright vol carry remains scarce. By contrast, skew has continued to underperform across parts of EMFX, leaving skew harvesting as one of the more attractive carry opportunities. Consistent with our prior work, we assess skew performance through a vol-of-vol adjusted spot-vol correlation framework (**Figure 10**), which tends to provide a cleaner measure of skew richness than the conventional direct spot-vol measure.

The risk backdrop is mixed but not obviously hostile. August liquidity conditions could amplify moves. At the same time, next week's US inflation release and Jackson Hole remain only lightly priced. Geopolitical risks & oil remain, though FX markets have so far remained relatively well behaved despite that channel. Fed repricing and renewed JPY intervention dynamics remain the most obvious threats to a carry-friendly environment. However, the resilience of carry during the latest intervention episode suggests the bar for a broader unwind may currently be somewhat higher.

Figure 10: EUR/PLN skew stands out overall. EUR/MXN skew underperformance remains very wide, but USD/MXN may have more headroom at this late stage.

BRL is excluded b/c of the upcoming election.



Source: J.P. Morgan.

Within our universe of MXN, PLN, HUF, and ZAR crosses, we continue to focus primarily on MXN and PLN. Historically, we have expressed the theme largely through EUR crosses to reduce exposure to USD-specific catalysts, including the start of the USMCA negotiations. That preference still has merit as Fed-related vol remains a consideration for USD pairs. The main question now is whether EUR/MXN remains the best vehicle. The answer is less clear than it was six weeks ago. While EUR/MXN skew still screens attractive on our framework, the repricing has already gone a long way and entry levels are no longer as compelling. USD/MXN exhibits a similar degree of skew underperformance but with more attractive pricing. The macro backdrop also remains supportive. Our LatAm team continues to hold an OW MXN view, while positioning appears clean. This reflects MXN's much

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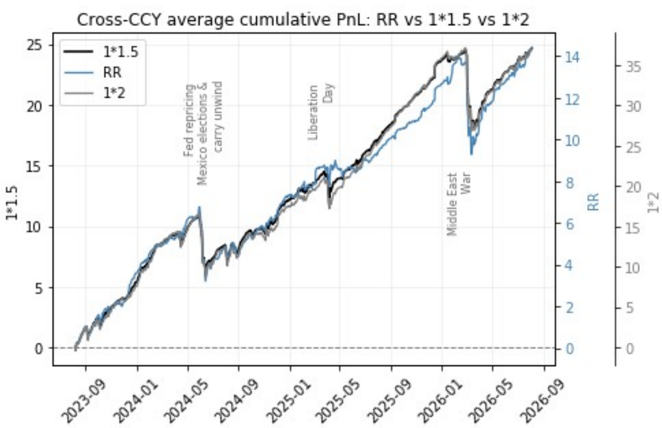
thinner yield advantage than that of its peers, which tend to attract aggressive carry inflows. Cleaner positioning reduces the risk of disorderly carry liquidations, which is generally a constructive backdrop for short-skew strategies.

Figure 11: Selling skew via delta hedged risk reversals and ratio call spreads turns out to be nearly identical for a universe of the USD and EUR/high yield FX.

Universe: USD/MXN, EUR/MXN, USD/PLN, EUR/PLN, USD/HUF, EUR/HUF, USD/ZAR, EUR/ZAR. Delta-hedged 3M structures: atm/25 delta 1*1.5 and 1*2 (vega notionals) ratio call spreads, and 25 delta risk reversals.



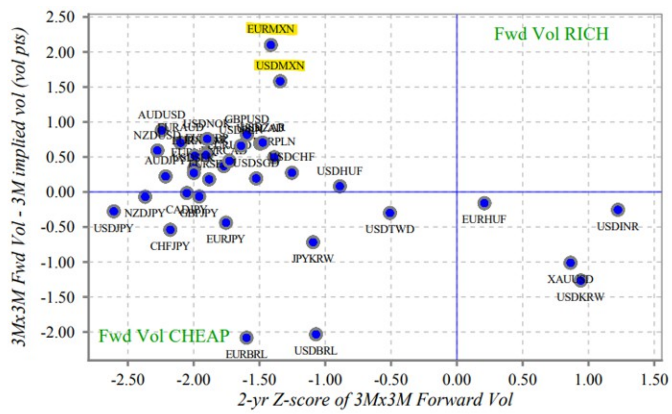
Source: J.P. Morgan.

USD skew exposure: MXN implied-realized vol spread is among the widest in EM, while the volatility term structure remains one of the steepest. Our broad-based backtests suggest little meaningful risk-adjusted difference between skew-harvesting expressions, with delta-hedged risk reversals and ratio call spreads producing very similar outcomes across both USD and EUR carry crosses (**Figure 11**). However, the current combination of rich skew and steep vol curves for MXN arguably favors structures that are simultaneously short skew, slightly short gamma and short vega, making 1×2 ratio call spreads particularly attractive. For investors preferring a more explicitly bounded profile, selling topside one-touches remains a compelling alternative.

— Buy delta-hedged 3M USD/MXN atm/25 delta 1*2 (vega notionals) ratio call spread @ 8.25 vs. 9.58/9.89 vols.

— Sell 4M 18.20 USD/MXN call one-touch @ 2.5%, *spot ref. 17.12*

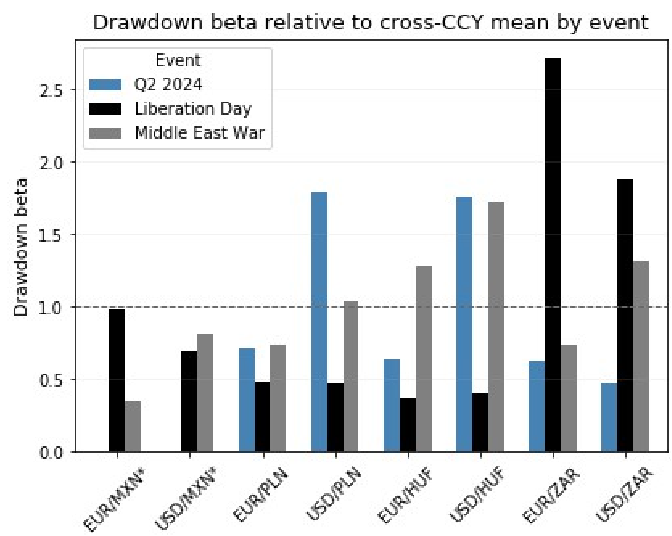
Figure 12: MXN vol curve is steep.



Source: J.P. Morgan.

Figure 13: USD/MXN and EUR/PLN fared the best during the recent adverse episodes.

USD/MXN and EUR/MXN were excluded from the Q2 2024 event b/c of the Mexico Election effect during that period that distorted the returns. Delta-hedged 3M 1*1.5 ratio call spreads used for assessing the drawdowns. ZAR was disproportionately affected during the Liberation Day due to lopsided positioning. HUF's Middle East War episode was affected by it's own Elections in April this year.



Source: J.P. Morgan.

x-skew exposure: Outside MXN, EUR/PLN looks quite appealing, now offering one of the most favorable entry levels within our universe while beginning to exhibit the type of skew underperformance historically associated with attractive returns (**Figure 10**). EUR/PLN also avoids direct USD exposure, although recent history demonstrates that this is not a complete insulation from global risk shocks, but at least it was one of the best in terms of drawdowns (**Figure 13**). The RR/ATM volatility ratio is > 1 sigma, placing EUR/PLN among the richer skew markets in relative terms, even if absolute levels of riskies are half of those for MXN, for example.

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— Buy delta-hedged 3M EUR/PLN atm/25 delta 1*2 (vega notionals) ratio call spread @ 3.95 vs. 4.6/4.8 vols.

Model Portfolio Update

- **NEW: Enter a 3M delta-hedged USD/MXN ATM/25D 1*2 vega-neutral ratio call spread @10.9 vol pts.**
- **TAKE PROFIT: Earn 2.7 vol points from the delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads.**

Current Trade Recommendations and P/L

	Description	Entry date	Entry	Current mid	P/L	P/L units	Remarks
New	Buy delta-hedged 3M USD/MXN ATM/25d 1*2 vega-neutral ratio call spreads.	7-Aug-26	10.9	11.4	-0.4	vol pts.	Harvest skew underperformance.
	Buy 2M in 4M USD/ZAR FVA.	19-Jun-26	12.3	10.9	-1.3	vol pts.	Defensive vega on low priced forward vols.
	Buy 3M 2% OTMS EUR puts/HUF calls vs. sell 3M 2% EUR puts/SEK calls.	19-Jun-26	3.0	-16.7	-19.7	bps.	Zero-cost high-yielder financed by low-yielder.
	Buy 3M NZD/USD vol, financed by selling EUR/NZD vol.	19-Jun-26	2.7	2.4	-0.3	vol pts.	Long USD corr via vol RV.
	Buy 3M USD/CAD 1.45 digi call.	19-Jun-26	10.9	1.1	-9.8	%	USMCA tail hedge.
	Buy delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads.	19-Jun-26	9.4	12.1	2.7	vol pts.	Take profit.

Trades marked to market at 4:00pm BST Friday.

For delta-hedged straddles and vol products, P/L is in vol points; for directional trades, bp of notional; negative entry price indicates a net credit at inception.

Source: J.P. Morgan

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Technical Strategy

Sharp Whipsaw at Least Temporarily Derails the Bullish Dollar Setup; A New 155-160 Range for USD/JPY?

- **The DXY Index broke back into the 2025-2026 base pattern after the July FOMC meeting, which clouded the technical outlook. On a near-term basis, we are looking for the index to stabilize near a large confluence of support levels at 99.19-99.415.**
- **EUR/USD has rebounded from support in the 1.12 and 1.13-handles toward the 1.1614-1.1629 short-term resistance zone. Look for the pair to stall below that resistance on a near-term basis. The amplitude of the recent rebound risks derailing the bearish medium-term trend momentum that has been building in recent months.**
- **The EUR/GBP rebound from the 0.8468 Dec 2024 61.8% retracement and the nearby Sep 2024-Mar 2025 base pattern highs shows the first signs of momentum loss below key resistance at the 0.86008-0.86098 breakdown area. We are watching for a short-term downside reversal pattern to form below that area, which would maintain the bearish medium-term trend bias.**
- **A sudden bearish impulse from 163.99 into the 154.78-155.04 support confluence at least temporarily stalled the 2025-2026 rally without much in the way of technical warning before the shift in market trend. Look for the 160.61-161.19 resistance zone to mark a short-term ceiling for the market. A break below the 155 area would signal a more lasting reversal in the medium-term trend.**

The DXY Index is left with an ambiguous technical setup following the recent whipsaw back into the 2025-2026 range

The post-FOMC break below the key 100 threshold and drop back into the 2025-2026 base pattern invalidated what had been a bullish June-July consolidation pattern and obscured the medium-term technical outlook, which was driven by the June breakout (Figure 1). The market now sits just above a large confluence of support levels at 99.19-99.415 that includes the Jan 38.2% retracement, Jan channel, May 61.8% retracement, and 200-day moving average. Tactically, we suspect that the market will find some footing at that support and at least consolidate in August. To that end, look to the 100.56 50-day moving average as potential resistance for a short-term rebound. On a medium-term basis, the recent weakness and inability to defend the June breakout levels does not preclude the market from resuming the 2026 rally, despite the fact that the price action makes it difficult to have high conviction in a bullish outlook at the moment. The market's ability to rebase above the noted support zone would mark the first step in restoring bullish medium-term conviction. Alternatively, a downside break would shift our attention to the 97.74 Jan 61.8% retracement and 97.625 May low as the next notable support zone.

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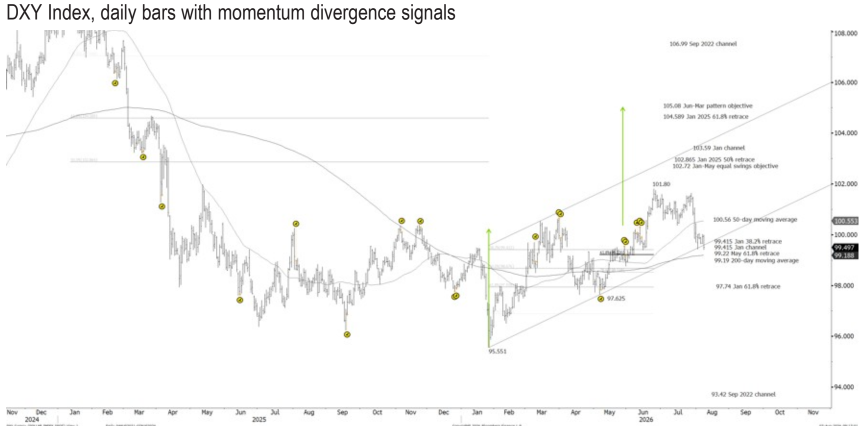
Figure 1: The DXY Index broke back into the 2025-2026 base pattern after the July FOMC meeting, which clouded the technical outlook. On a near-term basis, we are looking for the index to stabilize near a large confluence of support levels at 99.19-99.415.

DXY Index, daily bars with momentum divergence signals



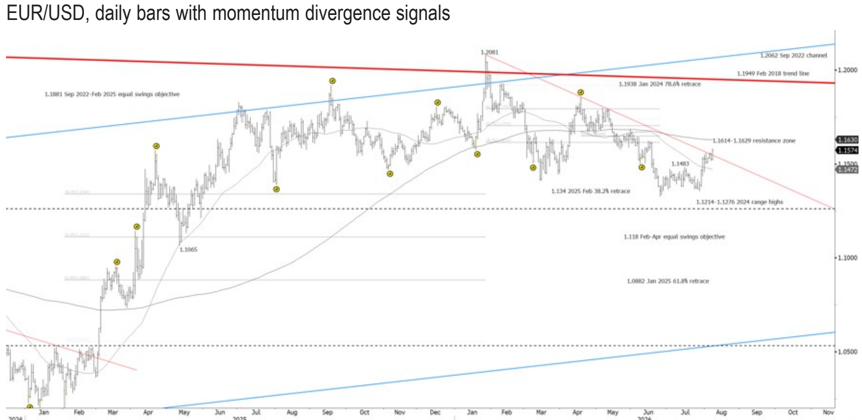
Source: J.P. Morgan. Bloomberg Finance L.P.

EUR/USD bounce from the 1.134 Feb 2025 38.2% retracement risks derailing the developing bearish trend momentum

The recent EUR/USD rebound from the 1.134 Feb 2025 38.2% retracement pushed through the 1.1471 50-day moving average and 1.1483 July range high, which at least temporarily derailed the near-term bearish trend dynamics (Figure 2). The pair is now approaching a key confluence of resistance levels at 1.1614-1.1629 that includes a pair of Fibonacci retracement levels associated with the 2026 price weakness and the 200-day moving average. We suspect that the market will struggle to surpass that zone on a near-term basis. In our view, an eventual push through that zone would completely derail the Feb-Jul bearish trend dynamics. For now, look to the 50-day moving average as a tactical support zone. A break below that would shift our attention back to the 1.134 retracement level and the 1.1214-1.1276 2024 range highs as critical support.

Figure 2: EUR/USD has rebounded from support in the 1.12 and 1.13-handles toward the 1.1614-1.1629 short-term resistance zone. Look for the pair to stall below that resistance on a near-term basis. The amplitude of the recent rebound risks derailing the bearish medium-term trend momentum that has been building in recent months.

EUR/USD, daily bars with momentum divergence signals



Source: J.P. Morgan. Bloomberg Finance L.P.

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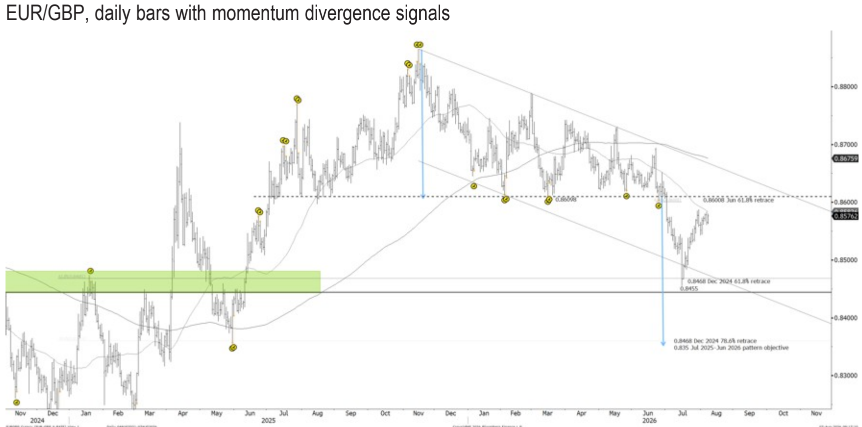
EUR/GBP rebound loses momentum below critical pattern breakdown resistance

EUR/GBP shows the first signs of tactical momentum loss after the sharp rebound from the first of two major support zones that includes the 0.8468 Dec 2024 61.8% retracement and 0.84039-0.84735 Sep 2024-Mar 2025 base pattern highs (Figure 3). While we think the cross can see further potential upside over the near-term and a period of consolidation, the lack of a clear base pattern at this point suggests that the broader bear trend is still intact. To that end, the 0.86008-0.86098 breakdown and June 61.8% retracement mark critical resistance. We expect the area to cap the cross. A move above would derail the bearish outlook. To the downside, the July 2025-Jun 2026 pattern has a 0.835 measured move objective and sits in the second important medium-term support zone. Until we see clear evidence of a medium-term bottom pattern, we will keep that second support zone as a potential target for the current bear trend.

Figure 3: The EUR/GBP rebound from the 0.8468 Dec 2024 61.8% retracement and the nearby Sep 2024-Mar 2025 base pattern highs shows the first signs of momentum loss below key resistance at the 0.86008-0.86098 breakdown area. We are watching for a short-term downside reversal pattern to form below that area, which would maintain the bearish medium-term trend bias.

EUR/GBP, daily bars with momentum divergence signals



Source: J.P. Morgan. Bloomberg Finance L.P.

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USD/JPY staged a sharp drop to the 154.78-155.04 support zone; a new 155-160 trading range?

USD/JPY sits near its 158.08 200-day moving average following the sudden and sharp drop from the 163.23-164.93 resistance zone and almost immediate test of the 155.04 May trough and 154.78 Apr 2025 38.2% retracement support zone (Figure 4). The decline unfolded without much in the way of technical warning and a lack of a pattern that would have suggested long position distribution. From a pure chart-based perspective, the recent price performance is similar to the late-Jan and late-Apr setbacks, albeit a bit more pronounced. On a near-term basis, we suspect that the market will begin trading in a new range above the noted support levels and below the 160.61 July 61.8% retracement and 161.19 50-day moving average. That zone also marked an important inflection point on the chart prior to the recent setback, which included the Mar-Apr range highs and early-July price low. In our view, a sustained break below the 155 area would imply a more lasting bearish trend reversal, which would turn our attention to the 150 4Q25 base breakout zone as the next support area.

Figure 4: A sudden bearish impulse from 163.99 into the 154.78-155.04 support confluence at least temporarily stalled the 2025-2026 rally without much in the way of technical warning before the shift in market trend. Look for the 160.61-161.19 resistance zone to mark a short-term ceiling for the market. A break below the 155 area would signal a more lasting reversal in the medium-term trend.

USD/JPY, daily bars with momentum divergence signals

Source: J.P. Morgan. Bloomberg Finance L.P.

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Market movers

(all times GMT; +9hrs for Sydney, +8hrs for Tokyo, -5hrs for New York)

Date	Country	Time	Data/Event		Forecast		Previous	
					JPM	Consensus		
Aug 9 (Sun)	**China**		M2 (%oya)	Jul	na	na	(Jun)	8
		02:30	CPI (%oya)	Jul	na	na	(Jun)	1
		02:30	PPI (%oya)	Jul	na	na	(Jun)	4.1
Aug 10 (Mon)	**Japan**	00:50	Current account (JPY bn, sa)	Jun	na	na	(May)	3064.5
		00:50	BOJ Summary of Opinions (July MPM)					
	Norway	07:00	CPI (%oya)	Jul	na	na	(Jun)	2.7
		07:00	CPI core (%oya)	Jul	na	na	(Jun)	2.7
	Turkey	08:00	IP (%oya)	Jun	na	na	(May)	0.01
	Romania		BoR rate announcement	na	6.50	na	na	6.50
Aug 11 (Tue)	**Australia**	02:30	NAB business confidence (%bal, sa)	Jul	na	na	(Jun)	-5
		05:30	RBA rate announcement	na	4.35	na	na	4.35
	Malaysia	05:00	IP (%y/y)	Jun	na	na	(May)	8.4
	US	11:00	NFIB small business survey (index, sa)	Jul	na	na	(Jun)	97.4
		15:00	Existing home sales (mn, saar)	Jul	na	na	(Jun)	4.09
	South Africa	12:00	Mfg. production (%oya)	Jun	na	na	(May)	-4.3
	Brazil	13:00	IBGE Inflation IPCA (%m/m)	Jul	na	na	(Jun)	0.16
	Mexico	13:00	IP (%oya)	Jun	na	na	(May)	-0.7
	Russia	14:00	Trade balance (USD bn)	Jun	na	na	(May)	14.154
Aug 12 (Wed)	**Japan**	00:50	M2 (%oya)	Jul	na	na	(Jun)	2.2
	Australia	02:30	Wage cost index (%q/q, sa)	2Q	na	na	(1Q)	0.75
	US	13:30	CPI (%m/m, sa)	Jul	na	na	(Jun)	-0.4
		13:30	CPI core (%m/m, sa)	Jul	na	na	(Jun)	0
		19:00	Federal budget ($ bn)	Jul	na	na	(Jun)	-120.305
	Canada	13:30	Building permits (%m/m, sa)	Jun	na	na	(May)	-1.7
Aug 13 (Thu)	**UK**	00:01	RICS house price survey (%bal, sa)	Jul	na	na	(Jun)	-33
		07:00	GDP (%q/q, sa)	2Q P	na	na	na	0.6
		07:00	IP (%m/m, sa)	Jun	na	na	(May)	-0.5
		07:00	Total business investment (%q/q, sa)	2Q P	na	na	na	0.94
		07:00	Trade balance (GBP mn, sa)	Jun	na	na	(May)	-18660
	Japan	00:50	Domestic CGPI (%oya)	Jul	na	na	(Jun)	7.1
	Sweden	05:00	AMV unemployment rate (%)	Jul	na	na	(Jun)	3.6
	Switzerland	07:30	Producer and import prices (%m/m)	Jul	na	na	(Jun)	-0.3
	Turkey	08:00	Current account ($ bn)	Jun	na	na	(May)	-1.459
	Norway	09:00	Norges Bank rate announcement	na	4.25	na	na	4.25
	Euro area	10:00	IP (%m/m, sa)	Jun	na	na	(May)	-0.2
	Poland	13:00	Current account (EUR mn)	Jun	na	na	(May)	-1071
	US		PPI (%m/m, sa)	Jul	na	na	(Jun)	-1.4
		13:40	Barkin Speaks on Economic Outlook					
Aug 14 (Fri)	**Peru**	00:00	BCRP rate announcement	na	4.25	na	na	4.25
	Malaysia	05:00	Current account (MYR, bn)	2Q	na	na	(1Q)	15200
		05:00	GDP (%y/y)	2Q F	na	na	(2Q P)	5.8
	India	07:30	WPI (%oya)	Jul	na	na	(Jun)	9.87
	Poland	08:30	GDP (%y/y)	2Q P	na	na	na	3.5
	Euro area	10:00	Trade balance (EUR bn, sa)	Jun	na	na	(May)	-4969.9
	Canada	13:30	Manufacturing sales (%m/m, sa)	Jun	na	na	(May)	1.28

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Date	Country	Time	Data/Event		Forecast		Previous	
					JPM	Consensus		
		13:30	Wholesale inventories (%m/m, sa)	Jun	na	na	(May)	0
	US	13:30	Retail sales (%m/m, sa)	Jul	na	na	(Jun)	0.2
		15:00	Business inventories (%m/m, sa)	Jun	na	na	(May)	0.3
	Russia	14:00	Current account (USD mn)	2Q P	na	na	na	12654

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Event Risk Calendar

	Date	Country	Event
Aug '26	10	Romania	BoR rate announcement
	11	Australia	RBA rate announcement
	13	Norway	Norges Bank rate announcement
	14	Peru	BCRP rate announcement
	mid-August	Brazil	Candidacy registration
	25	Hungary	MNB rate announcement
	26	Thailand	BoT rate announcement
	27	Korea	BoK rate announcement
	31	Israel	BoI rate announcement
Sep '26	2	Canada	BoC rate announcement
	2	New Zealand	RBNZ rate announcement
	2	Poland	NBP rate annoncement
	4	Malaysia	BNM rate annoncement
	8	Chile	BCCh rate announcement
	10	Euro area	ECB rate announcement
	13	Sweden	Sweden election
	16	Brazil	COPOM rate announcement
	16	United States	FOMC rate announcement
	17	United Kingdom	BoE rate announcement
	18	Japan	BoJ rate announcement
	22	Hungary	MNB rate announcement
	24	Switzerland	SNB rate announcement
	24	Mexico	Banxico rate announcement
	24	Norway	Norges Bank rate announcement
	29	Australia	RBA rate announcement
Oct '26		UK	Autumn budget
		China	Politburo meeting
	4	Brazil	General elections
	5	Canada	Quebec general election
	7	Poland	NBP rate annoncement
	12-18	World	World bank annual meeting
	20	Hungary	MNB rate announcement
	21	Israel	BoI rate announcement
	22	Korea	BoK rate announcement
	25	Brazil	Run-off election
	27	Chile	BCCh rate announcement
	27	Israel	Parliamentary Elections by this date
	28	Canada	BoC rate announcement
	28	United States	FOMC rate announcement
	28	New Zealand	RBNZ rate announcement
	28	Thailand	BoT rate announcement
	29	Euro area	ECB rate announcement
	30	Japan	BoJ rate announcement
Nov '26		South Africa	Municipal Elections
	1	China	Expiration of US-China trade truce agreement
	3	United States	Midterm Elections
	3	Australia	RBA rate announcement
	4	Poland	NBP rate annoncement
	4	Brazil	COPOM rate announcement
	5	United Kingdom	BoE rate announcement
	5	Mexico	Banxico rate announcement
	5	Norway	Norges Bank rate announcement
	6	Malaysia	BNM rate annoncement
	17	Hungary	MNB rate announcement
	23	Israel	BoI rate announcement
	26	Korea	BoK rate announcement
	28	Taiwan	Taiwan local elections
	28	Australia	Victorian state election
Dec '26		New Zealand	Last date for NZ national election
	2	Poland	NBP rate annoncement
	8	Australia	RBA rate announcement
	9	Canada	BoC rate announcement
	9	Brazil	COPOM rate announcement
	9	United States	FOMC rate announcement
	9	New Zealand	RBNZ rate announcement
	10	Switzerland	SNB rate announcement
	14, 15	World	G20 Summit
	15	Chile	BCCh rate announcement
	15	Hungary	MNB rate announcement
	17	United Kingdom	BoE rate announcement
	17	Euro area	ECB rate announcement
	17	Mexico	Banxico rate announcement
	17	Norway	Norges Bank rate announcement
	18	Japan	BoJ rate announcement
	23	Thailand	BoT rate announcement
	31	Japan	Budget for FY2027

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Central bank announcement dates in 2026

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Australia		3	17		5	16		11	29		3	8
Brazil	28		18	29		17		5	16		4	9
Canada	28		18	29		10	15		2	28		9
Chile	27		24	28		16	28		8	27		15
Colombia	30		31	30		30	31		30	30		18
Czech Republic		5	19		7	18		6	17		5	17
Euro area		5	19	30		11	23		10	29		17
Hungary	27	24	24	28	26	23	21	25	22	20	17	15
India		6										
Indonesia	21	19	17	22	20	18	22	19	23	21	18	16
Israel	5	23	30		25		6	31		21	23	
Japan	23		19	28		16	31		18	30		18
Korea	15	26		10	28		16	27		22	26	
Malaysia	22		6		8		9		4		6	
Mexico		5	26		7	25		6	24		5	17
New Zealand		18		8	27		8		2	28		9
Norway	22		26		7	18		13	24		5	17
Philippines		19		23		18		27		22		17
Poland	14	4	4	9	6	10	8		2	7	4	2
South Africa	29		26		28		23		23		19	
Sweden	29		19		7	17		20	24		4	16
Switzerland			19			18			24			10
Thailand		25		29		24		26		28		23
Turkey	22		12	22		11	23		10	22		10
United Kingdom		5	19	30		18	30		17		5	17
United States	28		18	29		17	29		16	28		9

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J.P. Morgan FX forecasts vs. forwards & consensus

Exchange rates vs. U.S dollar		Current					JPM forecast gain/loss vs June 27*			Actual change in local FX vs USD			
Majors		07-Aug	Sep 26	Dec 26	Mar 27	Jun 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
	EUR	1.16	1.14	1.13	1.12	1.10	-4.8%	-6.0%	-6.8%	-0.8%	-1.9%	-1.6%	-0.9%
	JPY	158	160	164	164	164	-3.9%	-6.3%	-5.5%	1.1%	-0.5%	-0.5%	-6.6%
	GBP	1.35	1.31	1.28	1.29	1.28	-5.2%	-5.2%	-5.3%	0.5%	-1.0%	0.1%	0.4%
	AUD	0.71	0.70	0.69	0.69	0.69	-2.3%	-1.8%	-4.2%	-1.6%	-2.5%	5.8%	8.3%
	CAD	1.39	1.40	1.41	1.40	1.39	0.3%	-1.1%	-1.4%	-0.8%	-1.9%	-1.5%	-1.4%
	NZD	0.59	0.60	0.60	0.60	0.60	1.9%	1.1%	0.0%	-1.5%	-1.3%	2.3%	-1.2%
JPM USD index		107.2	108.1	108.7	109.2	109.8	2.4%	3.1%	3.0%	0.1%	0.9%	-0.5%	-1.2%
DXY		99.6	101.0	102.2	102.7	104.0	4.4%	-5.6%	6.0%	0.5%	1.7%	1.3%	1.2%
Europe, Middle East & Africa													
	CHF	0.81	0.81	0.81	0.82	0.84	-3.4%	-6.9%	-5.8%	-3.2%	-3.9%	-1.9%	-0.1%
	ILS	3.00	3.00	2.95	2.90	2.90	3.4%	2.0%	-0.7%	-6.5%	-3.2%	6.3%	14.2%
	SEK	9.48	9.47	9.56	9.73	9.91	-4.4%	-5.9%	-8.9%	-2.4%	-2.8%	-2.8%	0.9%
	NOK	9.49	9.56	9.56	9.55	9.73	-2.4%	-2.0%	-4.3%	-2.5%	-3.0%	6.3%	7.7%
	CZK	20.99	21.05	20.97	20.98	21.27	-1.3%	-1.7%	-4.0%	-0.7%	-1.7%	-1.9%	-0.1%
	PLN	3.72	3.68	3.72	3.66	3.73	-0.2%	-0.3%	-3.1%	-2.4%	-3.4%	-3.5%	-1.9%
	HUF	315	298	301	299	305	3.3%	4.0%	-1.8%	-3.3%	-4.4%	4.0%	8.1%
	TRY	47.70	49.00	51.40	53.70	56.11	-15.0%	11.2%	-2.0%	-3.8%	-4.9%	-9.9%	-14.9%
	ZAR	16.18	16.25	16.00	15.90	15.75	2.7%	5.3%	1.6%	0.3%	1.2%	2.4%	9.5%
Americas	ARS	1499	1500	1550	1600	1650	-9.2%	9.6%	4.9%	-5.9%	-6.7%	-3.1%	-11.5%
	BRL	5.09	5.15	5.20	5.15	5.15	-1.2%	5.8%	0.4%	-0.7%	-3.9%	7.6%	6.6%
	CLP	914	875	870	865	860	6.3%	6.1%	2.7%	-2.7%	-2.7%	-1.5%	6.0%
	COP	3151	3450	3500	3550	3550	-11.2%	-4.2%	-1.6%	15.5%	18.6%	19.9%	28.4%
	MXN	17.14	17.35	17.30	17.30	17.30	-0.9%	1.7%	2.9%	1.2%	0.2%	5.1%	8.6%
	PEN	3.38	3.45	3.40	3.35	3.35	0.9%	2.1%	-0.6%	1.0%	1.6%	-0.5%	4.7%
Asia	CNY	6.75	6.70	6.70	6.75	6.80	-0.8%	-3.3%	-2.2%	0.3%	0.8%	3.6%	6.5%
	HKD	7.85	7.84	7.84	7.85	7.85	-0.1%	-0.9%	-0.6%	-0.1%	-0.2%	-0.8%	0.1%
	IDR	17890	18300	18500	18600	18700	-4.3%	-2.4%	-5.5%	-0.1%	-2.9%	-6.7%	-8.9%
	INR	95.21	95.50	96.00	97.00	98.00	-2.8%	-0.3%	-2.7%	-0.2%	-0.8%	-5.6%	-7.9%
	KRW	1411	1540	1560	1580	1585	-11.0%	-11.6%	-8.4%	6.9%	3.7%	2.1%	-1.7%
	MYR	4.09	4.00	4.00	4.05	4.10	-0.2%	-0.9%	-2.2%	-3.1%	-4.2%	-0.8%	3.5%
	PHP	60.91	62.50	63.00	64.50	65.00	-6.3%	-5.1%	-6.5%	1.1%	-0.5%	-3.4%	-6.4%
	SGD	1.28	1.28	1.28	1.28	1.28	-0.1%	-2.4%	-0.8%	-0.1%	-0.9%	0.5%	0.4%
	TWD	32.30	31.70	31.90	31.90	31.90	1.3%	-0.3%	-1.9%	-2.9%	-2.7%	-2.7%	-7.8%
	THB	33.05	34.50	35.00	35.20	35.50	-6.9%	-9.0%	-7.3%	-1.5%	-2.5%	-4.7%	-2.2%
EMCI		47.0	45.5	45.3	45.2	44.9	-4.3%	0.7%	-2.6%	-0.7%	-1.6%	1.1%	2.8%
Exchange rates vs Euro										Actual change in local FX vs EUR			
	JPY	182	182	185	184	180	0.9%	-0.3%	1.4%	1.9%	1.4%	1.1%	-5.7%
	GBP	0.86	0.87	0.88	0.87	0.86	-0.4%	0.9%	1.6%	1.3%	0.9%	1.8%	1.3%
	CHF	0.93	0.92	0.92	0.92	0.92	1.5%	-0.9%	1.1%	-2.5%	-2.0%	-0.3%	0.8%
	SEK	10.95	10.80	10.80	10.90	10.90	0.5%	0.1%	-2.3%	-1.6%	-0.8%	-1.2%	1.9%
	NOK	10.97	10.90	10.80	10.70	10.70	2.5%	4.3%	2.7%	-1.8%	-1.0%	7.9%	8.7%
	CZK	24.26	24.00	23.70	23.50	23.40	3.7%	4.6%	3.0%	0.1%	0.2%	-0.3%	0.8%
	PLN	4.30	4.20	4.20	4.10	4.10	4.9%	6.1%	3.9%	-1.7%	-1.4%	-1.9%	-1.0%
	HUF	364	340	340	335	335	8.6%	10.7%	5.4%	-2.6%	-2.6%	5.7%	9.1%
	RON	5.25	5.25	5.27	5.30	5.30	-0.9%	2.1%	0.0%	0.0%	-0.6%	-3.0%	-3.5%
	TRY	55.17	55.86	58.08	60.14	61.72	-10.6%	18.3%	5.2%	-3.0%	-3.1%	-8.4%	-14.0%
	BRL	5.88	5.87	5.88	5.77	5.67	3.8%	12.6%	7.7%	0.0%	-2.0%	9.8%	7.6%
	MXN	19.81	19.78	19.55	19.38	19.03	4.1%	8.3%	10.4%	1.9%	2.2%	6.8%	9.6%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 2Q'27

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